SoftTech Engineers Ltd. (NSE: SOFTTECH) — Company Dossier — Masterclass Companion Book

A step-by-step narrative walkthrough and audio companion to SoftTech Engineers Ltd. (NSE: SOFTTECH) – Company Dossier: deconstructing the business engine, global historical parallels, ten-year financial forensics, both sides of the institutional debate, and the discipline of high-asymmetry execution.

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A Sequential Guide to the Business Engine, Global Parallels, Financial Forensics & High-Asymmetry Execution

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SESSION PRICE

₹420.95

NEW CAPITAL VERDICT

REJECTED

CURRENT HOLDING ACTION

NOT HELD — 0 shares in the positions ledger; no current holding to trim or exit.

STAGE POSTURE

VALUATION WATCH ZONE (CONDITIONAL)

₹218.00-242.00

FY2028E-BASED SCENARIO RANGE

Bear ₹188.00 / Base ₹299.00 / Bull ₹813.00

PREFACE & CORE THESIS

SoftTech Engineers builds software that Indian cities use to approve building plans. FY2026 revenue grew 39.5% to ₹132.9 crore, yet group profit was ₹5.3 crore and free cash flow has been negative every year since FY2019. The business verdict is CYCLICAL_CONDITIONAL with KPI health PASS_WITH_WATCH, and new capital is REJECTED at the ₹420.95 verified close (latest print ₹425.90) because the price needs 29-35% revenue growth for five years. Our weighted FY2028E value is ₹369, 13.5% below the latest print. The company is not held, and we would reopen the file if audited FY2027 free cash flow turns positive with collection days under 200, or if the price reaches ₹218-₹242.

PROLOGUE

Chapter 0

> *"Risk comes from not knowing what you are doing."*
>
> — WARREN BUFFETT

SigTech Engineers builds the software that Indian city governments use to check and approve building plans. An architect uploads a drawing, a rule engine tests it against the local building bye-laws, and the city issues the permit and collects the fee on one system. The same company now sells digital twins to ports (its first large order is ₹92.95 crore from Jawaharlal Nehru Port Authority) and runs a transferable-development-rights exchange for Mumbai. Its rule engines serve more than 1,500 cities in 18 states, FY2026 revenue was ₹132.9 crore, up 39.5%, and the business is run from Pune by its founder, Vijay Gupta .

Our new-capital verdict is REJECTED. At ₹425.90, the last TradingView print on 13 November 2026, and ₹420.95, the last verified close on 12 November, you would pay 119 times earnings for a company whose group profit after tax was ₹5.33 crore in FY2026 and whose free cash flow was negative in every year from FY2019 to FY2026 . The business verdict is CYCLICAL_CONDITIONAL with KPI health PASS_WITH_WATCH: real products and fast growth, but no yet-proven conversion of growth into cash.

The price, not the business, is the reason for the rejection. A reverse discounted-cash-flow model says the price needs revenue to compound at 29-35% a year for five years at a 28-32% EBITDA margin, and even management's own plan of ₹300 crore of revenue in about four years is worth ₹222 to ₹408 a share under different assumptions, all below today's price . My probability-weighted FY2028E value is ₹369, which is 13.5% below the price, built from a bear value of ₹188 (30%), a base value of ₹299 (50%) and a bull value of ₹813 (20%). The pipeline's reference support band of ₹373-₹384 does not rescue the call: the base value is below it, so reward-to-risk from that band is negative. The price at which the base case alone pays 1.5 to 1 is about ₹218-₹242, 43% to 49% below the market.

Here is the debate in brief. The bull case rests on a product that is hard to remove once cities depend on it, pay-per-use revenue up 59% on the audited base (38.6% on management's own

base), orders in hand of ₹302 crore, a ₹626 crore pipeline and a first half in which standalone EBITDA margin reached 32.5% . The bear case rests on eight straight years of negative free cash flow, a credit-loss charge of ₹12.49 crore that exceeded group pre-tax profit, roughly 40% of gross trade receivables older than a year, a return on invested capital near 4%, a moat that Telangana has already breached, and a stock that trades about ₹20 lakh a day with no institutional owner . I give the bear side more weight because its evidence is audited and the bull side's is guidance.

Across three horizons the judgments are these. Short-term trading: AVOID, because the timing gate is CAP_REJECTED, volume is balanced and the stock is too thinly traded for a tactical entry. Medium term: CONDITIONAL, pending an FY2027 audited cash-flow statement that shows positive free cash flow after capitalised development and collection days below 200. Long term: NOT PROVEN, because return on capital is about a third of the cost of capital and the evidence of repeat large orders is one port.

For your portfolio, the positions ledger shows no SoftTech shares, so the holding action is NOT_HELD and the number of shares to sell is zero. Your next marginal unit of capital goes 100% to cash. The active shortlist and the peers I screened were compared on the same-session snapshot, and none was funded, because a snapshot is not an underwriting. These are advisory alerts, not broker orders.

What would change this? Four things, any of which would send me back to rebuild the base case: audited FY2027 free cash flow after capitalised development at or above zero; days sales outstanding under 200; a credit-loss charge under ₹5 crore; or a price inside ₹218-₹242 with the base case intact. A price drop alone does not reopen the file. The evidence has to move too.

Dating and data notes. The benchmark had no verified 13 November bar, so the report is as of 12 November 2026 with the latest TradingView print noted as provisional. The market-wide Stage 2 scanner failed twice and the Q2 FY2027 call transcript (held 13 November) could not be retrieved; both are listed as gate exceptions. Chapters 1 to 6 were written price-blind and passed the blind-pass check before any price was pulled.

If I had sixty seconds with you in a lift, this is what I would say. SoftTech makes something useful that governments really use, and it is growing. It has never yet turned that growth into spare cash for its shareholders, and the market is asking you to pay for the day it does. At this price, I would rather wait for the evidence than pay for the promise.

> **NARRATOR'S REFLECTION**
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> A good business and a good investment are two different questions. Chapters 1 to 6 asked the first one without looking at the price, and the answer was promising but unproven. Chapters 7 to 9 asked the second one, and the answer was no at this price. Keeping the two apart is how you avoid falling in love with the story.

CHAPTER I

Chapter I

> *"A building regulation is not simply a software specification."*
>
> — SOFTTECH ENGINEERS LTD, ANNUAL REPORT FY2025-26, 'THIRTY YEARS OF BUILDING THE DIGITAL FOUNDATIONS OF THE BUILT ENVIRONMENT'

Start with the date on the incorporation certificate. SoftTech Engineers was incorporated on 17 June 1996 at Ahmedabad, with its first registered office in Surat. A shareholder vote in July 2000 and a Company Law Board order in October 2001 moved the registered office to Pune, where it has stayed . Vijay Gupta and Shyam Bhandari signed the original memorandum . Mr Gupta is an M.Tech from IIT Mumbai who worked for multinational companies before founding the firm, and thirty years later he is still chairman, managing director and chief executive . That continuity is a strength and a key-person risk. Hold both thoughts as we go.

The first product had nothing to do with municipal governments. STRUDS, released in 1996, helps a structural engineer analyse and detail a concrete building: you give it loads and geometry and it works out the steel. By 1997 more than 100 Indian customers used it, and in 2003 SIDBI's National Venture Fund became the first outside investor . Mr Gupta told investors in June 2026 that STRUDS competed with Bentley's STAAD, held about 29-30% of the Indian market, and was sold to CSC (UK) in 2011 . The sale price is not disclosed in any filing I could find. What matters is the pattern: the founder built a product that won customers, sold it, and rebuilt the company around a different one.

The second act began as e-governance, which simply means a government office doing its work on software instead of paper. PWIMS, a works and procurement system for public works departments, went live at its first customer in 2004. AutoDCR followed; the prospectus dates its launch to 2005 while the FY2026 annual report says 2006 . DCR stands for development control regulations, the bye-laws that tell a city how tall, how close to the road and how dense a building may be. AutoDCR reads an architect's CAD drawing, measures it against those rules and lists the violations without a clerk. On 3 November 2007

the company won the Pune Municipal Corporation contract to maintain AutoDCR and its permission workflow. In 2013 Madhya Pradesh's urban administration directorate awarded it automated building permissions for 14 municipal corporations, running June 2013 to December 2018, and Indore Municipal Corporation won a national e-governance gold award for the system in 2014 . Opticon, an ERP (one program that runs a firm's tenders, purchasing and accounts) for construction contractors, followed in 2010 .

By the time the company filed its prospectus the mix was lopsided. FY2017 revenue was ₹46.72 crore: AutoDCR ₹27.78 crore (59%), PWIMS ₹9.38 crore (20%), Opticon ₹0.63 crore and everything else ₹8.94 crore. The top five customers were 45.6% of revenue and the top ten 63.3% . Underneath sat a reseller line: as an Autodesk value-added reseller the company booked ₹6.44 crore of Autodesk channel revenue in FY2017, about 14% of the year, because most AutoDCR cities run AutoCAD and each deployment pulls licences through . The prospectus itself names the weakness: the business was 'largely dependent on government initiatives' .

Read that timeline for its rhythm. From 1996 to 2011 you see one engineer building tools. From 2004 to 2013 you see the pivot to government software, won tender by tender. From 2014 to 2018 you see outside capital and a listing. After 2018 nearly every row is a new Civit platform, an overseas entity or a capital raise, so the company has changed shape more in the last eight years than in its first twenty.

The stock-market chapter needs correcting, because several summaries get it wrong. The company went public on the NSE Emerge platform, the exchange's small-company segment, with trading from 11 May 2018. The offer was 28,51,200 shares, made up of 23,71,200 new shares and 4,80,000 sold by the Rajasthan venture fund, together about ₹22.8 crore, and the share count after it was 94,22,476 . Before the offer the founder held 26.73% and the venture fund 26.77% . That was not a main-board listing. The company moved to the NSE main board and listed directly on BSE with effect from 25 February 2022 . The FY2026 annual report's milestone graphic puts 'listed on NSE and BSE' beside 2018, which squeezes two events four years apart into one . The last dividend the company paid was the FY2019 final dividend of ₹0.50 a share; the board has recommended none since .

The FY2026 annual report divides the thirty years into three eras. The first decade, 1996 to 2006, built domain depth. The second, 2006 to 2018, was automation: AutoDCR in 2006 and BIMDCR in 2017, which extends the same scrutiny from flat 2D drawings to BIM, a 3D digital model of a building that carries its dimensions and materials. The third, from 2018, is 'products to platforms' . In practice that meant folding separately sold products into the Civit Suite on a shared core, embedding AutoDCR's rule checker inside Autodesk's AutoCAD as RuleBuddy PlanAssist, relaunching Opticon as the SaaS product CivitBUILD (SaaS means customers rent hosted software instead of buying a licence), and starting a BIM and GIS services unit . Management also says the commercial model moved from licences toward pay-per-use charges, a shift Chapter 2 tests against the audited numbers .

From 2018 the company also began to build a foreign footprint. Its prospectus declared no subsidiary and a plan to enter the Middle East, Africa, South-East Asia, the US and Europe by FY2019-20 . The record since then is below.

Score that against the 2018 plan. Eight years on, revenue from outside India was ₹2.13 crore in FY2026, 1.6% of group revenue, down from ₹2.69 crore (2.8%) in FY2025 . Germany, the stated flagship, has no revenue, and Mr Gupta himself says it needs 'another six months' before commercial traction . Meanwhile the parent-only profit has exceeded group profit every year since FY2020: the gap was ₹1.22 crore, ₹1.21 crore, ₹1.13 crore, ₹2.18 crore, ₹3.65 crore, ₹2.81 crore and ₹4.24 crore across FY2020 to FY2026, ₹16.4 crore in all . Not all of that gap is overseas, since it also reflects other subsidiary costs and inter-company items, but it shows what the group has paid for options that have not yet earned.

Who else runs the company? Priti Gupta has been a whole-time director since 4 March 2008, and Pratik Patel has been one since 18 July 2020; he played a key role in setting up the UK subsidiary . The finance chair has turned over: CFO Kamal Agarwal resigned effective 16 September 2025 and Deepak Bang was appointed the next day . The company secretary post has also changed hands, with Shalaka Khandelwal resigning in March 2026 and Aadishri Apte appointed in May 2026, and the November 2026 results presentation is signed by a third name, Nihal Gupta . Four independent directors sit on a seven-person board . None of this is alarming alone, but a company with a long-serving founder and fast-

changing finance and compliance officers deserves a closer look at its controls, on which the auditor's opinion is unmodified .

Now the ownership table, which has been rewritten and deserves slow reading. Before the IPO the founder held 26.73% . In FY2021 the company raised a 'strategic investment' from RIB, the German construction-software group . Mr Gupta later described it as convertible debentures from RIB's chairman, Thomas Wolf, which the company chose to repay rather than convert, adding that it was 'purely financial' . Preferential issues followed. October 2021 brought ₹10 crore of equity; October 2022 brought ₹8.29 crore of compulsorily convertible debentures (loans that must turn into shares) and ₹25 crore of share warrants (rights to subscribe for shares later, paid in instalments), all converted by 2024 . Paid-up equity capital grew from about ₹9.4 crore after the IPO to ₹12.82 crore by March 2024 .

On 10 June 2024 Mr Gupta, Udyat Indian Ventures LLP and Covisible Solutions India Pvt Ltd agreed to sell 25,00,000 shares, 19.50% of the company, to Einstein Work Pte Ltd . Management told the 2024 AGM the buyer was 'strategic' and not part of the promoter group . Mr Gupta ties the investment to Thomas Wolf's family fund . On 23 December 2024 the company issued 9,87,998 new shares to Einstein and Florintree Technologies LLP, raising ₹40.01 crore . Promoter-group holding was 32.05% in December 2023, 20.35% in June 2024 and 18.89% from December 2024, the latest step reflecting dilution by the new issue (rounded data feed). At 31 March 2026 the register showed Einstein 23.41%, Mr Gupta 17.60%, Elimath Advisors 16.23% (which took over Florintree's 16.27% holding) and East India Udyog 7.05% . The annual report discloses no pledge of promoter shares, though ₹6.22 crore of company bank deposits are pledged against facilities . The founder family also lends to the company: ₹3.02 crore was outstanding from Mr and Mrs Gupta at March 2026, and Mr Gupta receives a ₹62.22 lakh annual non-compete fee .

Now the revenue and profit cycle. FY2019 revenue was about ₹63 crore (rounded data feed) and FY2020 was ₹57.95 crore. FY2021 then fell 28% to ₹41.57 crore . The company's own explanation is specific: lockdowns delayed order confirmations and milestone approvals; government departments were busy managing the pandemic; the transaction-based revenue stopped because nobody filed building-permit applications; and receivables and unbilled revenue piled up . Note what that tells you. The pay-per-use model that management now

prefers is exposed to construction volumes in a way a one-time licence is not. Recovery was quick: ₹57.46 crore in FY2022 (+38%), ₹65.40 crore in FY2023, ₹78.78 crore in FY2024, ₹95.25 crore in FY2025 and ₹132.90 crore in FY2026 (+39.5%) .

Margin did not drive the story; the data feed's operating margin sat between 24% and 30% throughout. Profit did not follow revenue either. Group profit after tax was ₹6.49 crore in FY2020 and ₹5.33 crore in FY2026, on revenue 2.3 times as large. The reason is depreciation and amortisation, the annual write-off of capitalised software, which grew from ₹3.72 crore to ₹22.83 crore, from 6.4% to 17.2% of revenue . Software built and capitalised in earlier years is now being charged against profit, and that charge absorbed most of the operating gain. FY2025 was the trough: group profit of ₹1.33 crore, with management attributing about three points of margin to building the time value of money into its expected-credit-loss provisions . FY2026 swung back with revenue up 39.5% and group profit of ₹5.33 crore, even after a ₹12.49 crore provision for expected credit losses on receivables and unbilled revenue, against ₹2.79 crore a year earlier . Management's own licence-versus-recurring split shows licensing up 69% in FY2026, and the fourth quarter alone delivered ₹46.6 crore, about 35% of the year .

The first half of FY2027 shows the same pattern in miniature. Consolidated H1 revenue was ₹64.82 crore (+20.4%), but profit after tax was ₹1.37 crore against ₹1.44 crore a year earlier, which management ties to a deferred Middle East order and German go-to-market costs. The order book stood at ₹302.35 crore after the ₹92.95 crore JNPA win . So the company enters its second half-decade as a profitable, growing, thinly earning business that is still reinvesting nearly everything it makes.

What do I take from this history? Three things, and one doubt. The strength is real: a thirty-year founder, a product in daily use by municipal engineers, 1,500-plus cities in 18 states, and a recovery from a 28% revenue fall inside two years . The second is that the model has changed twice, from licences to AMC-heavy recurring revenue by FY2021 (recurring was 57% of FY2021 revenue and one-time 31%) and back toward one-time licences in FY2026 . The third is that capital has arrived in pulses, an IPO, three preferential rounds and a promoter sale, each paired with a growth story. The doubt is the one a mentor should voice:

after eight years of overseas ambition, the foreign subsidiaries have cost more than they have earned, and group profit is still a fraction of parent profit.

Picture Pune in November 2007. A junior engineer in the municipal corporation has a stack of building files on her desk. For each one she must check the plot size, the road width, the permitted floor area and a dozen setbacks, with a rule book in one hand and a calculator in the other. The architect on the other side of the counter has submitted a drawing that may be right or wrong, and neither of them can tell without a half-day of measuring. That is the day SoftTech won the contract to maintain AutoDCR and its permission workflow for the corporation . The software did not replace her judgement about a difficult site. It took over the arithmetic, and the argument about whether the arithmetic was right.

Now put yourself in the chief financial officer's chair across the table and ask the questions this chapter raises. You would ask why the group's profit after tax was ₹5.33 crore when the parent's was ₹9.57 crore, and how much of the ₹4.24 crore gap is foreign start-up cost and how much is simply inter-company accounting . You would ask what the ₹12.49 crore credit-loss provision means for cash: how much of it is expected to come back, and when . You would ask why a company that pays a founder a non-compete fee and borrows from the founder family also raised ₹40 crore from outside investors a few months after the founder sold shares .

Charlie Munger's old maxim is a useful lens for the ownership story: 'Show me the incentive and I will show you the outcome.' An IPO seller, a founder and two other holders who sold 19.50% in 2024 to a strategic buyer, and a management team that talks about a ₹300 crore revenue ambition all have clear incentives. Your job is not to assume bad faith. It is to ask what each party is paid to do, and check whether the numbers moved in the way the story said they would.

Here is the plain-language recap. SoftTech began as a structural-engineering software company, sold that business in 2011, and rebuilt itself on software that checks building plans and runs public works for Indian cities. It listed on a small-company exchange in 2018 and moved to the main exchanges in 2022. It raised capital repeatedly, and its founder and two other holders sold a fifth of the company to a strategic investor in 2024. Revenue has grown strongly since the COVID dip, but because the company capitalises so much software and

then writes it off over time, profit has grown far more slowly. The overseas push has not yet produced meaningful revenue .

> **NARRATOR'S REFLECTION**
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> SoftTech has already survived one reinvention (selling its first business in 2011) and one shock (a 28% revenue fall in FY2021) without a loss year at group level between FY2019 and FY2026 (rounded data feed). The open question is not whether it can build software that cities use; it plainly can. It is whether the spending on overseas expansion and new platforms can be turned into profit before the next pulse of capital is needed.

CHAPTER II

Chapter 2

> *"We don't give software to the organizations like governments and all. We put it onto a cloud."*
>
> — VIJAY GUPTA, FOUNDER, CHAIRMAN AND CEO, SOFTTECH ENGINEERS, Q4 FY26 EARNINGS CALL, 2 JUNE 2026

Here is the first thing to know about SoftTech's segments: the company reports none. Under accounting standard Ind AS 108 it declares a single business segment, 'design, development, installation and servicing of information technology related resource', so there is no segment profit, no segment assets and no segment margin to analyse . What the auditors do sign off is a three-line split of revenue by commercial model, a split between India and the rest of the world, and a count of customers above 10% of revenue. Everything finer, the Civit product shares and the licence-versus-maintenance split, comes from management, not from the audited notes. I will keep the two apart so you always know which kind of number you are holding.

The audited split for FY2026, consolidated, runs as follows. One-time licence model: ₹97.92 crore, or 73.7% of revenue. Pay-per-use and SaaS: ₹31.72 crore, 23.9%. BIM and GIS services: ₹3.26 crore, 2.5%. By nature of sale, ₹110.67 crore is services and ₹22.23 crore is products, and because the only goods cost in the accounts is purchases of 'traded software', I read the products line as resold third-party software . India supplied ₹130.78 crore (98.4%) and the rest of the world ₹2.13 crore (1.6%) . Two customers each exceeded 10% of revenue and together paid ₹26.12 crore, 19.7% of the total, while in FY2025 none did; the filing does not name them .

Three things in that table ought to bother you. First, the base year does not match. Management says pay-per-use and SaaS revenue grew 38.6% from ₹22.89 crore in FY2025, but the audited note shows FY2025 at ₹19.94 crore, which makes growth 59%; both cannot describe the same ledger, and the filings do not say whether a reclassification explains it. The BIM and GIS line has the same problem: management says 18.6% growth, the audited standalone note implies 26.7% and the consolidated note 57% . Second, annual maintenance

appears to have fallen from about ₹19.6 crore to about ₹11.5 crore, while the report says recurring revenue was 'broadly stable' at about ₹42 crore; that holds only if pay-per-use gained exactly what maintenance lost, and the report never says maintenance shrank by about 40% . Third, the company has described its mix three different ways in three annual reports: in FY2021, one-time 31%, recurring 57%, other 12% ; in FY2025, licensing 35%, pay-per-use and SaaS 25%, maintenance 18%, implementation 22% ; and in FY2026, FY2025 restated as licensing 52%, SaaS 25%, maintenance 21% . My conclusion: judge the business on the audited totals and treat every mix claim as colour.

By product, the CFO told the June 2026 call that CivitPERMIT was about 50% of FY2026 revenue and CivitINFRA 25%, with RuleBuddy, CivitBUILD and BIM and GIS services making up 15-20% . The H1 FY2027 presentation shows the mix moving: Civit PLAN and PERMIT 52.1%, Civit INFRA 11.2%, CivitBUILD 2.8%, e-TDR 3.2% and services and others 30.8%, against 44.6%, 29.0%, 0.4%, nil and 25.9% a year earlier . Infrastructure fell from 29% to 11% of the half's revenue. The presentation does not say why; lumpy licence recognition on large orders is my guess, not a disclosed fact. Note that the slide's product totals, ₹67.06 crore for H1 and ₹34.54 crore for Q2, do not match reported revenue of ₹64.92 crore and ₹32.70 crore, so treat the percentages as indicative .

1. CivitPERMIT, the AutoDCR lineage: building permits, about half of revenue. Take Mumbai. The Municipal Corporation of Greater Mumbai ran building approvals across 26 interlinked departments for a city of about 20 million people. The company's case study says approvals took 90 to 99 days (the same annual report quotes both figures), depended on subjective rule interpretation and leaked revenue . SoftTech built a single-window system: the architect submits a CAD drawing, the engine checks every object against the codified rules, a report lists deviations, other departments give their no-objection certificates in one workflow, and the fee is computed on screen. The case study reports approval time falling to about 5-9 days . Pune Municipal Corporation signed a maintenance contract for AutoDCR on 3 November 2007 . In FY2026 the same product went to the Housing and Urban Development Department of Jammu and Kashmir: AutoCAD drawings checked automatically, GIS master-plan validation, and digital change-of-land-use processing, inaugurated by the Chief Secretary . The CEO also cited a new Gujarat mandate .

How does a permit system get built and billed? The scarce skill is not reading a CAD file. It is translating a city's bye-laws (setbacks, floor-space index, parking, fire norms) into rules a machine can evaluate, then getting the authority to accept that interpretation. The annual report says 'a building regulation is not simply a software specification' . Each new jurisdiction needs rule codification, workflow configuration, GIS and payment integration, data migration and training, which is why implementation is the biggest team: 315 of 582 staff . Pricing has two shapes. The old shape is a one-time licence and implementation fee billed in milestones, followed by an operations and maintenance contract of three to five years or more . The new shape, which the CEO says started about three years ago, is: 'we don't give software to the organizations like governments and all. We put it onto a cloud', SoftTech funds the customisation, and 'we charge from the customer based on the permits issued through the application on the square feet basis', collected from the architect or owner directly or through the state treasury . The rate is set in each tender and is not disclosed. In the new shape SoftTech carries the upfront cost, which is one reason capitalised development spending is so large (Chapter 3).

2. CivitINFRA, the PWIMS lineage: works and project monitoring, about a quarter of FY2026 revenue. A works department or airport authority runs hundreds of construction packages at once, and without a system progress reaches head office as periodic paper reports. The Airports Authority of India awarded SoftTech a ₹17.16 crore contract for a BIM-based Project Monitoring System: S-curves (cumulative progress plotted against plan) and Gantt charts for each package, 3D model views, risk alerts on a portfolio dashboard and a mobile app for site engineers . The CFO said about 40% of the order was recognised in FY2026 and the rest follows over roughly three years; the CEO called it a one-time licence with enhancements to come . A second example is MIDC, Maharashtra's industrial development corporation, whose 18,500-plus projects ran on manual estimates and slow schedule-of-rates revisions; the company's case study reports 466 locations, 4,000 users and 80% cost savings, a claim not audited . Envee, acquired in November 2024, has worked on MIDC for 25-plus years and earned ₹4.25 crore in FY2026 . The newest and largest order is JNPA's ₹92.95 crore digital twin for India's biggest container port, with core functions due by February 2027 and full operation by February 2028 . That one order equals about 70% of FY2026 group revenue, so slippage in delivery would show up quickly in receivables.

3. CivitTDRx, the e-TDR exchange: a transaction fee on property rights. When Mumbai takes a landowner's plot for a road, it pays in a certificate of development rights (TDR) that the owner can sell or use to build more floor space elsewhere. On paper that market was opaque. The Brihanmumbai Municipal Corporation, under the Maharashtra Urban Development Department, appointed SoftTech as technology partner for an online exchange serving 18,000-plus registered developers and TDR owners, where buyers and sellers sign digital contracts and the platform provider earns a fee per transaction . The CEO put it at 0.5% of each transaction, mandatory from 10 May 2026, with about ₹8,000 crore of TDR trades a year in the BMC area, which an analyst turned into ₹40 crore of revenue and the CEO accepted as the theoretical figure while cautioning that not all would arrive in FY2027; he put margins at 70-80% . The first evidence is modest. The H1 FY2027 slide gives e-TDR 3.2% of the half, roughly ₹2.1 crore, and 5.3% of Q2, about ₹1.8 crore . At 0.5%, Q2 implies only about ₹370 crore of trades, against a history of about ₹2,000 crore a quarter (my derivation), so volume has to rebuild before the 'theoretical' figure means anything.

4. CivitBUILD, the Opticon lineage: construction ERP for contractors. Picture an estimator at an industrial contractor with a tender due Friday: quantities in one spreadsheet, supplier rates in another, site progress in a third. CivitBUILD puts tender, project, material, finance, logistics, labour, sales and production management in one cloud system. SCON Projects, a pan-India industrial construction and EPC (engineering, procurement, construction) company with 18-plus years of work for clients including Tata Chemicals, KSB Pumps and Indocount, chose it in May 2026; the company claims up to 40% faster delivery and 20% lower cost, which is marketing, not an audited result . The price and billing terms are not disclosed. The revenue evidence is thin: Opticon earned ₹0.30 crore in FY2021 against ₹5.24 crore in FY2020, and CivitBUILD was 2.8% of H1 FY2027 revenue . Overseas, the CEO says an Oman tender was lost on price, where SoftTech was second-lowest ('L2') while top on technology, and the H1 FY2027 results cite a Middle East order deferred by the customer .

5. Services and new platforms. BIM and GIS services (3D compliance modelling, clash detection, spatial validation) earned ₹3.26 crore, and management says they often lead to a platform sale . The US subsidiary's only revenue was ₹6.25 lakh of BIM services . The newer platforms have first orders rather than revenue streams: CivitSUSTAIN for Mitsubishi

Electric's central water management centre, which the CEO says serves a Delhi Jal Board project through L&T's water network; CivitMETAVERSE for Metawolf; CivitTWIN, which BMC has issued a letter of intent to deploy; and eBGAI, a localised CivitPERMIT and CivitTWIN for the German market . RuleBuddy PlanAssist embeds the rule checker inside AutoCAD for architects and small practices . None of these has disclosed revenue, so do not value them as if they were mature.

6. Resold software. About ₹22.23 crore of revenue, 16.7% of the group, is third-party software sold on, and the only goods cost in the profit statement, ₹20.87 crore of traded-software purchases less a ₹1.66 crore rise in stock, implies a gross margin near 13.6% . This lineage goes back to the Autodesk reseller arrangement that earned ₹6.44 crore in FY2017 . It adds revenue and receivables but little profit, which is why growth in 'sales' flatters the business.

Is the franchise defensible? The company says its rule base covers more than 1,500 urban local bodies in 18 states, about 2 million permits processed, with 'more than 4,000' statutory urban local bodies in India, so well under half of the market by count . The 2024 AGM claimed 'about 80% of the markets', which does not square with that count unless it means share of digitised permitting . In FY2021 the company said only four or five firms actively supplied building-permission systems and that its win came through formal tenders ; in June 2026 the CEO put its win rate at about 70%, losing mainly on cost . The embedded workflow, the codified bye-laws and the references are real moats. Against them stand tender-by-tender price competition, about 30% of bids lost, a customer base that is almost all government, and AI tools that management itself admits could lower the value of owning a rule base . Warren Buffett's test is the right one here: the key is 'the competitive advantage of any given company and, above all, the durability of that advantage'.

Walk through one permit from the architect's side. An architect in a mid-size city finishes the drawings for a four-storey residential building and exports them from AutoCAD. She logs in to the authority's portal, uploads the file and pays the scrutiny fee online. Within minutes the engine returns a list: the rear setback is 40 centimetres short, the staircase width fails, the parking count is one bay low. She corrects the drawing and resubmits. Only then do human officers look at the file, and they look at a drawing that already passes the rules. Under the

pay-per-use model, the fee she paid is how SoftTech gets paid, per square foot, with no invoice to a government office in between .

Now the contractor's side. A site engineer at an industrial EPC firm logs the day's concrete poured, a store keeper logs cement received, and a finance clerk logs a subcontractor's running bill. Without a shared system, the project manager learns about a cost overrun when the month-end sheet is assembled. CivitBUILD's pitch is that all three entries land in one place the same day . You should still ask the harder question: how many contractors will pay for that, and for how many years, when the revenue line today is under 3% of the half-year ?

What would you ask the CEO? Start with the maintenance line: why did annual maintenance revenue fall by about 40% in a year when pay-per-use was supposedly replacing it ? Ask which two customers accounted for ₹26.12 crore of revenue and whether either one is a one-off licence . Ask what volume of TDR trades has actually gone through the BMC platform since 10 May, and what fee has been charged on them . And ask what it would take for the German business to produce its first billed revenue, given that management has said six more months of prototyping come first .

In plain language, then: SoftTech makes most of its money from software that checks building plans and runs public works for Indian authorities, and the audited accounts split that into just three revenue lines. About three-quarters of FY2026 revenue was one-time licences and related work, about a quarter was pay-per-use or subscription, and almost none came from outside India. The attractive new lines, the property-rights exchange and the digital twins, are young. The oldest lines carry the revenue today, and their payers are governments that pay late .

> **NARRATOR'S REFLECTION**
>
> SoftTech's revenue is more concentrated and less recurring than its Civit branding suggests. Roughly three-quarters comes from one-time licence work, half the revenue rides on one product family, and two customers account for a fifth of the total. The pay-per-use and exchange models are the right answer to that concentration, but in FY2026 they remained under a quarter of revenue and the exchange had only begun to bill.

CHAPTER III

Chapter 3

> *"...government is also, I would say, a risk free business in a way. But the challenge is collecting at time."*
>
> — VIJAY GUPTA, FOUNDER, CHAIRMAN AND CEO, SOFTTECH ENGINEERS, Q4 FY26 EARNINGS CALL, 2 JUNE 2026

SoftTech does not sell the way a consumer software firm does. There is no app store, no free trial and no sales army. It sells by tender. A housing department or port authority publishes a request for proposal (RFP), bidders submit technical and price bids, and an evaluation committee decides. The CEO describes the discipline this way: 'we get engaged with the customer before RFP is published', explaining the value, and the company works 'on specific opportunities only rather than going with all different types of RFPs' . He puts the win rate at about 70%, with most losses on cost . The business development team is 25-30 people out of roughly 550 . In Oman the company ranked first on technology but second on price, and the customer asked it to negotiate further . So a tender win is part product, part price, part pre-selling, and it is never guaranteed.

The second route is partners. SoftTech is an Autodesk developer-network member and value-added reseller, and it earned ₹6.44 crore from Autodesk's channel in FY2017 . It signed a sales partnership with CGI, a large government-technology integrator in the US and Canada, and with CDCi in Malaysia . The CEO says its CivitSUSTAIN order from Mitsubishi Electric rides on controllers that Mitsubishi supplies to L&T for city water networks . For Germany, management leans on the network of its investor Thomas Wolf, whose RIB group sold construction software there for thirty years . The annual report describes the plan as relying on 'partner-led go-to-market models rather than on the direct establishment of large overseas sales organisations', a capital-light stance that also means SoftTech does not control the customer relationship .

From award to cash the cycle has five steps. First, the contract. Second, requirements and rule codification, where SoftTech reads the authority's regulations and turns them into logic. Third, configuration, data migration and integration with GIS, payment gateways and other

departments' systems. Fourth, user acceptance and go-live. Fifth, operations and maintenance, or pay-per-use billing. How long does it take? The Madhya Pradesh permit contract for 14 corporations ran from June 2013 to December 2018 . At the 2024 AGM the then CFO, Kamal Agarwal, said the ₹287 crore order book would convert over about three years on average, while the CEO put the window at three to five years . In FY2026 about 40% of the AAI order was recognised in the first year and the rest follows over roughly three years . JNPA expects core functions by February 2027 and full operation by February 2028, about 17 months from award .

The order book needs care. It was ₹287 crore in September 2024 , ₹231.99 crore after FY2026 , and ₹302.35 crore at 6 November 2026 . Strip out the ₹92.95 crore JNPA order and the November figure is about ₹209 crore, below September 2024 even though revenue has grown some 70% since FY2024 (my arithmetic on). The pipeline of qualified bids was ₹436.23 crore in June and ₹625.57 crore in November; management says it converts at 'more than about 60%' . The accounts offer a harder number: unsatisfied performance obligations of ₹114.64 crore at March 2026, up 40% from ₹82.01 crore, which is roughly half the stated order book; the filings do not reconcile the two measures .

Now billing. The accounts say 'the billing schedules agreed with customers include periodic performance based payments and / or milestone based progress payments', with invoices payable 'within contractually agreed credit period' . Fixed-price work is recognised over time using an output measure (plans approved, transactions processed, software phase completed); licences are recognised on delivery; maintenance is spread evenly . The gap between revenue recognised and invoices raised is parked on the balance sheet as a contract asset, or unbilled revenue. In FY2026 SoftTech recognised ₹74.11 crore of revenue on such contracts and billed ₹63.05 crore, so about ₹11 crore of earned revenue is still waiting to be invoiced . The auditor made revenue recognition on fixed-price contracts a key audit matter because the choice of milestone and method needs judgement .

What the table shows is real improvement from a very stretched position. Trade receivables fell ₹9 crore while revenue grew 40%, and management cut DSO (days sales outstanding, the average days to collect) from 372 to 260, with a goal below 200 . What it does not show is cure. The company provided ₹17.65 crore against ₹105.80 crore of gross receivables and

unbilled revenue, 16.7% of the balance, and the charge to profit and loss rose from ₹2.79 crore to ₹12.49 crore . The CFO says the cause is that governments hold back '1%, 2% of our invoice values' until later and that a new policy now reserves long dues; the CEO adds that retentions and deposits can take 'sometimes even seven years' to come back . He is candid about the structure: 'government is also, I would say, a risk free business in a way. But the challenge is collecting at time' . Receivables are pledged to banks as security for working-capital lines, and the auditor's CARO report records that quarterly returns filed with those banks did not agree with the books: ₹2.85 crore short in June 2025, ₹1.70 crore short in September, ₹12.35 crore higher in December and ₹15.95 crore short in March, which management attributes to returns being filed provisionally before closing adjustments .

The other cash drain is capitalised development. Under accounting rules a software company may treat engineering cost for a new product as an asset, not an expense, once the product is technically and commercially feasible, then write it off over its useful life. SoftTech paid ₹30.50 crore for intangible development in FY2026, 22.9% of revenue, and ₹34.47 crore in FY2025, 36.2% of revenue . It amortised ₹20.44 crore in FY2026, with the CEO citing a three- to four-year life . Intangible assets and those under development stand at ₹90.22 crore, 53% of total equity . The auditor lists this as a key audit matter and tested payroll, vendor contracts and invoices on a sample basis . Two readings are possible, and both are fair. One: this is investment in products that now earn transaction fees. Two: it is a way of moving operating cost from the profit statement to the balance sheet. Pay-per-use contracts make the second risk sharper, because SoftTech funds the customisation up front.

Now follow ₹100 of FY2026 revenue through the audited consolidated statements, one period throughout: profit and loss and cash flow both for the year to 31 March 2026. Of every ₹100, ₹14.45 pays for resold software, ₹24.83 pays staff, and ₹36.50 pays other expenses. Within those other expenses, ₹17.05 is outside technical consultants and ₹9.40 is the credit-loss provision. That leaves EBITDA (profit before interest, tax, depreciation and amortisation) of ₹24.22. Depreciation and amortisation take ₹17.18, interest ₹3.06, other income adds ₹2.74, and tax takes ₹2.71, leaving profit after tax of ₹4.01 .

Read the cash half carefully. Operating cash flow was ₹31.26 crore, or ₹23.52 per ₹100 of revenue. It started from ₹46.13 crore of cash generated before working capital, but ₹12.98

crore of that is simply adding back the credit-loss provision, which is a non-cash charge, and then ₹10.46 crore went into working capital and ₹4.41 crore into tax . Capex was ₹32.57 crore, ₹24.51 per ₹100, of which ₹22.95 is capitalised software and ₹1.56 equipment. Free cash flow was therefore about minus ₹1.31 crore, minus ₹0.98 per ₹100; the company's own standalone figure is minus ₹0.09 crore . Take lease payments of ₹1.79 crore and interest paid of ₹3.44 crore as well and the stricter figure is minus ₹6.53 crore. In effect 98% of operating cash went into new software. The data feed shows free cash flow negative in each of the eight years FY2019 to FY2026, about minus ₹46 crore in total, against cumulative group profit near ₹34 crore (rounded data feed). The gap was financed by the IPO, preferential issues and borrowings: ₹31.74 crore of debt against ₹33.00 crore of cash and bank deposits at March 2026 .

Some unit economics are disclosed, and they point different ways. Revenue per employee was ₹22.8 lakh and employee cost per head ₹5.7 lakh across 582 staff, but ₹22.66 crore went on outside technical consultants, so the real delivery workforce is larger than the payroll . Resold software earns about 13.6 paise per rupee . The TDR exchange, if volume returns, is described as a 70-80% margin stream . Pay-per-use brings cash as the permit is issued, and the CEO says it 'improves our cash flow positions' . Add back the ₹12.49 crore provision and EBITDA would have been about 33.6% of revenue instead of 24.2%, which is the margin management points to; whether that provision proves temporary is the central cash question for FY2027 .

Follow one invoice from SoftTech's side. A project manager at SoftTech reaches a contract milestone: the permit workflow is configured for a state's 40 towns. She asks the authority's engineer to certify completion. The engineer takes a few weeks, and then the file goes to the accounts section, where an officer checks the sanction, the budget head and the tender terms. The bill is approved, sent to the treasury, and eventually paid, minus a retention of one or two per cent that stays with the department for years, sometimes up to seven . Every stage of that walk is outside SoftTech's control, which is why the company's most valuable commercial innovation may be a boring one: ask the architect to pay at the moment of the permit.

If I were at the table with the CFO, Deepak Bang, I would ask four questions. How much of the ₹17.65 crore allowance relates to customers who are disputing the work, and how much

to customers who are simply slow ? When is the allowance expected to reverse, and in which line will the reversal appear? Of the ₹30.50 crore capitalised last year, how much was salaries of SoftTech's own staff and how much was outside consultants ? And what is the free-cash-flow breakeven for the business if pay-per-use reaches half of sales?

Warren Buffett once warned that 'managers that always promise to make the numbers will at some point be tempted to make up the numbers'. That is not an accusation here: the audit opinion is unmodified, though the auditor's CARO report carries two exceptions, and the company discloses its judgements openly . It is a reminder to read cash alongside profit. Profit after tax of ₹5.33 crore looks healthy beside revenue growth of 40%; operating cash of ₹31.26 crore looks healthy too; but cash after the software the company had to build was close to zero.

In plain language: SoftTech wins orders by bidding on government tenders and partnering with larger technology firms. After winning, it builds and configures software for months or years, and bills in stages. Between the work and the cash sit unbilled revenue, approvals, and often delays by the government. The company has been shortening that wait, and its new pay-per-use and exchange models are designed to cut it further. For FY2026, though, almost all the cash the business made was spent on building the next round of software .

> **NARRATOR'S REFLECTION**
>
> The product earns its margin when a city adopts the rule engine; it earns its cash only when the payer, usually a government office, releases the money. In FY2026 SoftTech closed the gap noticeably, with DSO down from 372 to 260 days, but 98% of operating cash flow still went into capitalised software. Keep the two clocks separate: orders tell you about demand, and the cash-flow statement tells you whether growth pays for itself.

CHAPTER IV

Chapter 4

> ""Mostly, we lose only if it is a cost parameter which comes in.""
>
> — VIJAY GUPTA, FOUNDER, CHAIRMAN AND CEO, SOFTTECH ENGINEERS, Q4 FY2026 EARNINGS CALL, 2 JUNE 2026

Start by naming the market, because a moat only means something inside a defined castle. SoftTech supplies three different products to overlapping customers. The first is statutory permit software: a municipality's rule engine and workflow that reads an architect's CAD or BIM drawing, checks it against the city's building bye-laws (called development control regulations, or DCR) and routes the file to officers for sanction. The second is works and infrastructure monitoring for government departments, airports and ports. The third is private-sector construction software plus new transaction platforms such as Mumbai's digital exchange for transferable development rights (TDR, a tradable certificate given to landowners whose land the city acquires). The permit business is the core. Management said CivitPERMIT was 50% of FY2026 revenue and CivitINFRA 25% . The company's February 2024 deck put AutoDCR, the permit product's earlier name, at ₹40.7 crore of ₹65.3 crore standalone FY2023 revenue, or 62% .

Now the number everyone repeats: roughly 80% share of Indian permit automation. It appears in the September 2018 investor deck ("~80% Market Share" and "Largest market share in India (80%) for building plan approval management system") , in the 2021 AGM deck ("80%+ Authorities in India use CIVIT Permit") and in the February 2024 deck ("over 80% of market share in India in its domain") . None of them says who measured it, what the denominator is, or as of what date.

The company's own papers pull that number in different directions. The 2018 deck counted 3,700+ urban local bodies and called 80% of them "still untapped", while 340+ were live . The 2021 deck counted 600+ agencies . The FY2026 annual report says 1,500+ cities against "substantially more than 4,000" statutory urban local bodies, so at most about 37% by head-count, and it does not repeat the 80% claim . When an analyst put "80% market

share in permitting” to the CEO on the 2 June 2026 call, he answered about TDR and neither confirmed nor corrected it; the only share he volunteered was “29-30%” for STRUDS, the structural-design product transferred to a UK company in 2011 . My reading: 80% described the installed base of drawing-reading scrutiny engines among authorities that had already chosen automation by 2018. It is not a measured share of today's market, and I would not carry it forward.

Read the table with one filter: who actually wins tenders against SoftTech? The global names in the usual list (Autodesk, Bentley, Nemetschek, Trimble, Oracle Primavera) are mostly partners or adjacent. The annual report treats Autodesk, Dassault, Bentley and Esri as complements, and RuleBuddy is built on Autodesk's AutoCAD OEM engine . Trimble matters only historically, because it now owns the structural business SoftTech divested in 2011 . I found no source showing any of them contesting an Indian municipal permit tender, and no evidence that Oracle Primavera overlaps any SoftTech product, so I have left it out rather than invent a rivalry.

The sharpest evidence of a real rival is Telangana. The state introduced TG-bPASS in September 2020, and the legacy portal still reads “Designed & Developed by : SoftTech Engineers Limited” (TG-bPASS portal (https://sw.tgbpass.telangana.gov.in/)). In December 2024 it launched BuildNow to replace it, promising scrutiny of a three-tower, 40-storey project in under two minutes . The BuildNow portal (https://buildnow.telangana.gov.in/) credits Deepwork Technologies Private Limited as developer. SoftTech's February 2024 deck still listed a Telangana state order among its reference wins . A statutory system that lasted about four years is not the permanent lock-in that the word moat implies.

In fairness, SoftTech won state business in the same period: a ₹33 crore, five-year Andhra Pradesh order (APDPMS 2.0) disclosed in its Q1 FY2026 presentation (https://softtechglobal.com/wp-content/uploads/2025/08/Investor-Presentation_20.08.2025.pdf), and a further Gujarat mandate for CivitPERMIT . One more data point is ambiguous. Uttar Pradesh's building-approval portal, labelled “Developed on AutoDCR Platform”, carries a notice that all application submissions were suspended from 20 June 2026 (UPOBPAS (https://upobpas.in/BPAMSClient/Home.aspx)). The page does not say why, so I treat it as an open question to ask management, not as a loss.

The company's argument for stickiness is fair. Once a municipality's officers, architects and fee collections run through one system, replacing it means data migration, retraining and a period of double handling, and the annual report says so . The localisation work is also real, because each city's bye-laws must be turned into machine-checkable rules. But two forces are shrinking that second advantage. States are consolidating rulebooks: Maharashtra's UDCPR, notified in December 2020, applies to all planning authorities except Greater Mumbai and a few others (The Hitavada (https://www.thehitavada.com/Encyc/2020/12/6/State-Govt-notifies-Unified-Devpt-Control-Promotion-Regulations.html)), which means fewer rule sets to codify and a smaller head start for whoever codified the old ones. And the annual report itself concedes the AI risk: new entrants do not have the dataset, but “improvements in general-purpose reasoning reduce the value of holding one” . Telangana's replacement was marketed on scrutiny speed and “advanced technologies” , which is exactly that threat.

Pricing power is where management was most candid. In a government tender, L1 means the lowest bidder and L2 the second lowest. On Oman, the CEO said: “From the pricing front, we are at L2 in the tender... But from the technology front, we were T1,” and the customer wanted a lower price after a Singapore bidder came in lower . Asked about lost bids, he said: “it could be about 70% winning and 30%, sometimes losing because of cost or something. Mostly, we lose only if it is a cost parameter which comes in” . Read plainly, product quality gets SoftTech onto the shortlist, price decides the award, and the company does not claim a premium. Its pricing power appears after the award, in per-permit fees and maintenance contracts.

The second structural weakness is the payer. The annual report calls government procurement and payment cycles the company's “most material commercial exposure” and quantifies it: days sales outstanding (the average days between billing and cash) of 260 . The CFO explained one slice: “in government businesses, the government uphold some 1%, 2% of our invoice values, which they will process after certain period of time,” and the CEO added that retentions can take “sometimes even seven years” to come back . This is not new. The May 2018 prospectus (https://softtechglobal.com/wp-content/uploads/2024/05/Softtech-SME-IPO_Prospectus.pdf) already reported that 37.22% of trade receivables were more than six months past due and that state and central government supplied 70.86% of revenue. Eight years later the problem is smaller, not solved.

Concentration compounds it. FY2026 was the first of the three years I checked (FY2024 to FY2026) in which a customer crossed 10% of revenue: two customers together contributed ₹26.1 crore, 19.7% of consolidated revenue . The report counts 18 states, the same number as the February 2024 deck's "18+" . My reading is that growth has come more from deeper wallet share inside known governments (Gujarat, the Airports Authority, the Mumbai TDR platform, the port authority) than from new states. That is less costly to win, but it ties results to a few counterparties and their payment calendars.

Put the two side by side and the lesson is about structure, not size. Tyler's moat is breadth across many departments of the same customer, and even there receivables run near 100 days of revenue . Educomp's trouble started with receivables growing roughly seven times faster than sales, for customers that were governments . SoftTech's pay-per-use model is the right instinct, because fees collected from applicants bypass the slow treasury cycle, but it is a quarter of revenue, not four-fifths. The leverage cushion is the difference from Educomp; the breadth and the recurring base are the gap from Tyler.

My judgement: SoftTech has a real but narrower moat than the 80% story implies. It is strongest where a state has embedded the product into its statutory workflow and lets the company charge applicants per permit. It is weakest where a state can rewrite the rules or procure something new on speed or price. The evidence supports a durable niche vendor with good products and ordinary pricing power, not a monopoly. The next test is whether a second Telangana happens.

External Learning Hub — Watch the SoftTech corporate video (YouTube, "30 Years of Transforming the AECO Industry") (https://www.youtube.com/watch?v=VuACFCOU31Y), then try the product demo page (https://softtechglobal.com/civitdemo/) and read the CivitPERMIT (https://softtechglobal.com/civit-permit/) and CivitTDRx (https://softtechglobal.com/civit-tdrx/) pages to see what an officer or applicant actually uses. For the rivals, open the Telangana BuildNow portal (https://buildnow.telangana.gov.in/), the UPYOG building plan approval module (https://upyog.niua.in/homepage/building-plan-approval/), CSM Technologies' BPAS page (https://www.csm.tech/offering/building-plan-approval-system-bpas) and CSII's explainer on Auto-DCR (https://blog.csii.in/what-is-an-online-building-plan-approval-system-a-complete-guide/). For the global view, see Solibri (https://

www.solibri.com/) (rule-based BIM checking) inside the Nemetschek brand list (https://www.nemetschek.com/en/about-us/brands) and Tyler Technologies' 2024 annual report (https://www.sec.gov/Archives/edgar/data/860731/000086073125000007/tyl-20241231.htm). Primary documents: the FY2026 annual report (https://softtechglobal.com/wp-content/uploads/2026/09/Annual-Report-2025-2026_compressed.pdf) and the 2 June 2026 earnings-call transcript (https://softtechglobal.com/wp-content/uploads/2026/06/SoftTech_TranscriptQ4Call.pdf).

Picture a municipal engineer in a mid-sized city on the day the new permit software goes live. Until then her desk was a stack of rolled drawings and a ledger. Now an architect uploads a CAD file, the engine measures setbacks and floor-area ratios, and the file arrives with a list of objections already written. She likes it, because her discretion, and the arguments that come with it, have shrunk. That is why such a system is hard to remove once it runs. It is also why a state minister, watching permit timelines on a dashboard, can decide that a faster engine from someone else is worth the disruption. Both things happened in India within a few years of each other .

Here is a question to put to the CEO and the CFO together: when you say you hold about 80% of the market, which authorities are in the denominator, and who counted them? A second question follows: if the answer is that the share is by count of authorities that chose automation, what is your share of the authorities that have not? The annual report says there are more than 4,000 urban local bodies and that 1,500 are served . A good manager answers precisely and does not mind being asked. A defensive answer would tell you something too.

Buffett has said that what matters in a business is the durability of its competitive advantage, not the excitement of its industry. Apply that to a permit vendor. The advantage is not the software, which a well-funded rival can rebuild. It is the fact that a statutory record, once digitised, becomes a public asset that officials do not want to migrate. Telangana shows that the asset can still be moved when a government decides it should be. The question is how often that happens, and the sample so far is one state in a base of eighteen .

In plain words, then: SoftTech is a good specialist in a market where its customers are also its regulators and its payers. Specialists in that position earn decent margins when they are on the shortlist and wait a long time for their money. Judge the moat by repeat awards, by how

many states return to tender, and by how the pay-per-use share holds as permit volumes change, and not by the 80% slogan .

NARRATOR'S REFLECTION

A moat for a government software vendor is a statutory habit that officials are reluctant to break, not a patent. SoftTech has that habit in many cities, and its own CEO says it loses tenders on price. The Telangana switch shows the habit can be broken. Watch repeat awards, the pay-per-use share and the next state tender before trusting the 80% slogan.

GLOBAL PARALLEL • UNITED STATES, 1998–2024; SOFTWARE FOR LOCAL, STATE AND FEDERAL GOVERNMENT • TYLER TECHNOLOGIES, INC. (MOAT_SCALING)

Tyler entered the software business in 1998 and has not paid a dividend since . It supplies a broad set of mission-critical applications (permitting and civic services, ERP, property tax, courts, public safety) to government agencies and keeps them on maintenance or subscription contracts that renew automatically unless the client gives notice; after acquiring NIC Inc. in April 2021 it also supplies payment services into the same client base . The moat is breadth across many departments of the same customer plus recurring revenue. Calendar 2024: revenues $2,137.8 million; subscriptions 62.8% and maintenance 21.7% of revenue (recurring about 84%, $1.8 billion); subscription revenue up from $350.6 million in 2020 to $1.3 billion in 2024, including $698.2 million of transaction-based fees; GAAP operating income 14.0% of revenue; accounts receivable $587.6 million, about 100 days of revenue (my arithmetic) . Government software compounds when the vendor owns many workflows of one customer and moves from one-off licences to renewing subscriptions and per-transaction fees. SoftTech's pay-per-use model is the same instinct at small scale: usage-linked revenue is about 24-25% of its sales against Tyler's 84% recurring base, and Tyler is roughly 140 times SoftTech's revenue at ₹88 per dollar (my assumption). Even Tyler's receivables run near 100 days; SoftTech's 260-day DSO says it has not yet earned that quality.

GLOBAL PARALLEL • INDIA, FY2011–FY2017; TECHNOLOGY AND CONTENT SUPPLIED TO GOVERNMENT AND PRIVATE SCHOOLS • EDUCOMP SOLUTIONS LIMITED (FAILURE_BASE_RATE)

Educomp's EduReach business set up and ran IT labs in government schools on a build-own-operate-transfer model: it spent first and was paid quarterly by state governments over three to five years . Management described the revenues as “predictable & locked in for three to five years” . The risk is the one SoftTech names in its own annual report: governments pay when they pay, while the vendor carries the upfront investment and, here, the borrowing that funds it. FY2012 consolidated (₹ million): income 14,912.8 versus 13,509.0 (+10.4%); trade receivables 8,650 versus 5,070 (+70.6%), equal to 58% of income or about 212 days (my arithmetic); net profit 1,355.4 versus 3,366.7 (–59.7%); finance charges 1,432.5 versus 1,089.9; cash and bank balances 838.4 versus 2,097.5 . The company has been under insolvency resolution since 30 May 2017 . A contract that is “locked in” guarantees work, not cash. For SoftTech the watch-list is receivables-plus-unbilled work growing faster than sales, the expected credit loss provision, and borrowing. The cushion is real: gross borrowings plus lease liabilities were about ₹39 crore against equity of about ₹170 crore at March 2026 , far from Educomp's leverage. The shared mechanism is slow public payment funding growth.

CHAPTER V

Chapter 5

> *"“But definitely, trade receivables in government are not that encouraging.”"*
>
> — VIJAY GUPTA, FOUNDER, CHAIRMAN AND CEO, SOFTTECH ENGINEERS, Q4 FY2026 EARNINGS CALL, 2 JUNE 2026

This dashboard separates the numbers that lead revenue from the numbers that report it. It does not show everything: earlier years of several rows are in older annual reports and decks I did not use, so “not disclosed” here means not in my sources, and the FY2025 revenue figure has three versions (₹96.26 crore in the FY2025 report's narrative , ₹95.25 crore consolidated and ₹93.36 crore standalone in its statements). I picked six KPI families because each one answers a question a business like this has to answer: is demand building, is revenue repeating, is cash arriving, is the cost of building product being hidden, is the footprint widening, and is the team productive.

Order book and pipeline. The order book is signed work not yet recognised as revenue; the pipeline is opportunities management says it is bidding for. The book rose from ₹133.6 crore in December 2023 to ₹232.0 crore at March 2026, about 1.7 times FY2026 revenue , and ₹302.4 crore at September 2026 . Pipeline went from ₹144.5 crore (India only) to ₹625.6 crore, 4.3 times in under three years. One order carries much of the latest jump: the ₹92.95 crore JNPA port order is 31% of the September book . The book also includes multi-year maintenance and SaaS pieces. The CEO said of a book of “200-odd crores”, about 60% will convert this year and “about 40% recurring” of that . Those splits are management's, not audited.

Recurring revenue. Here the definition problem bites. Pay-per-use and SaaS revenue is the cleanest line: ₹11.75 crore in FY2022 to ₹31.72 crore in FY2026, a 22% five-year growth rate, and up 38.6% in FY2026 on management's base (the audited note's FY2025 figure gives 59%, a difference Chapter 2 explains) . But as a share of sales it only moved from about 20% to about 25%, and in Q2 FY2027 it grew just 11.9% after 55.6% in Q1 (Q1 deck (https://softtechglobal.com/wp-content/uploads/2026/08/Q1Investorpresentation.pdf)) .

Add maintenance contracts and the “recurring” share was 45% in FY2025 and 33% in FY2026; the FY2026 report says plainly “The recurring share therefore fell during the year” and that the move “runs counter” to its 50% objective . The FY2025 report had called the same year's recurring share 24% , and the February 2024 deck showed 51% for FY2023 . H1 FY2027 shows 43.5% against 37.5% a year earlier . I would trust the usage-based line and treat the broader share as a moving target.

Collections. The CFO told the June 2026 call that days sales outstanding improved from 372 to 260 , and the company's slide shows 462 days in FY2022 (Q4 FY2026 deck (https://softtechglobal.com/wp-content/uploads/2026/06/SoftTech_InvestorPresentation.pdf)) . The data feed's 95 debtor days looks much better, but it counts trade receivables only. The consolidated balance sheet also carries ₹52.8 crore of current contract assets, unbilled work already booked as revenue . Receivables of ₹34.6 crore plus unbilled work come to about 242 days of FY2026 revenue by my arithmetic, close to the company's 260, and about 365 days for FY2025 against its 372. So 60% of the burden is revenue recognised before an invoice is raised. The expected credit loss provision doubled to ₹6.28 crore, 15.4% of gross receivables, from 6.7% (standalone) ; management described it as a prudence policy on long-outstanding dues and retention money . Free cash flow after capitalised development was about −₹1.3 crore on the consolidated statements in FY2026, or −₹0.09 crore on the company's own standalone measure .

Capitalised development. SoftTech writes some of its software engineering cost onto the balance sheet as an asset (an “intangible asset under development”) and expenses it later through amortisation. Additions were ₹15.2 crore in FY2023, ₹32.4 crore in FY2024, ₹32.0 crore in FY2025 and ₹36.5 crore in FY2026, 27% of consolidated revenue (FY2024 report (https://softtechglobal.com/wp-content/uploads/2024/09/Annual-Report-2023-24-1.pdf) for FY2023). FY2026 EBITDA was ₹32.2 crore , so had all of that been expensed, EBITDA would have been about −₹4 crore on my arithmetic, though some of the amount may be non-cash. The CEO's defence is that products “generate revenues in subsequent years” and are amortised “within three years or four years” . Amortisation was ₹20.4 crore in FY2026, 15% of revenue . Net intangibles of ₹70.7 crore plus ₹19.6 crore under development equal about 53% of equity .

Footprint and runway. The permit footprint went from 340+ live bodies in 2018 to 600+ in 2021 and 1,500+ in 2026 , against “substantially more than 4,000” statutory urban local bodies . Cumulative permits went from “1 million+” in 2021 to “more than two million” ; at the 2021 deck's “1,000+ permits per day”, five years would add about 1.8 million and the total would be near 2.8 million, so I read the daily figure as a peak, not a run-rate. The company is targeting 300 more government clients , but the unserved remainder is the smallest, poorest tier: the annual report itself calls them “the least able to fund discretionary technology” . My arithmetic shows the problem: CivitPERMIT was about half of FY2026 revenue, roughly ₹64 crore, or ₹4.3 lakh per served body per year. Three hundred more clients at that average add about ₹13 crore, against the ₹167 crore gap between FY2026 revenue and the CEO's ₹300 crore target. Client count cannot close that gap alone.

Policy gives a real tailwind to reform-linked spending rather than to software specifically. The Union Cabinet approved a ₹1 lakh crore Urban Challenge Fund in February 2026 with funding tied to reforms including “governance and digital reforms” and a ₹5,000 crore corpus to improve the creditworthiness of 4,223 cities including Tier-II and Tier-III towns (PIB release (https://www.pib.gov.in/PressReleasePage.aspx?PRID=2227991®=48&lang=2)). The annual report adds Smart Cities, PMAY-Urban 2.0 volumes and India's construction industry growing at about 12% a year . Maharashtra's UDCPR, in force since December 2020, harmonises rules across most of the state (The Hitavada (https://www.thehitavada.com/Encyc/2020/12/6/State-Govt-notifies-Unified-Devpt-Control-Promotion-Regulations.html)). The company lists BIM-based permits as a growth lever; I did not find a binding national BIM mandate in the sources I read, so I treat BIM as an option, not a tailwind.

Two new revenue streams need a reality check against their own math. CivitTDRx charges 0.5% of each TDR trade on the Mumbai exchange, made mandatory on 10 May 2026; the CEO cited about ₹8,000 crore of TDR trades in the corporation's area in FY2026, and when an analyst computed ₹40 crore a year at that volume, he agreed . Actual H1 FY2027 eTDR revenue was 3.2% of the slide's product total, about ₹2.1 crore, and 5.3% in Q2, about ₹1.8 crore . If all of that were 0.5% fees, Q2 trades would be about ₹366 crore against an implied ₹2,000 crore a quarter. It is early, with a mandate only weeks old and “100-odd registrations” , but the ₹40 crore story is unproven. Overseas is a clearer disappointment:

outside-India revenue peaked at 4.3% of sales in FY2024 and was ₹2.1 crore, 1.6%, in FY2026 , and the CEO called Indian products in the US “very, very tough” .

Team productivity. Year-end headcount was 582 against 530 a year earlier (+9.8%) while revenue rose 40% . Consolidated revenue per employee therefore rose from ₹18.0 lakh to ₹22.8 lakh, my arithmetic on year-end headcount. The CEO told analysts: “It is not that we will reduce people at this moment, but we can have more growth with the same set of people” . That is a claim to test, since the group's consolidated EBITDA margin was 26.3% in H1 FY2027 against 32.5% standalone, a four-crore EBITDA gap that the company attributes mainly to go-to-market spending in Germany .

Before the audit, two corrections to the brief. First, there is no earnings-call history to audit: the 2 June 2026 call was SoftTech's “maiden conference call” . Second, the IPO was not in 2021. The company's prospectus is dated 4 May 2018 (https://softtechglobal.com/wp-content/uploads/2024/05/Softtech-SME-IPO_Prospectus.pdf) for a listing on the NSE EMERGE small-company platform, and it moved to the main boards in 2022 . So the promise record in the table that follows is built from the 2018 deck, the 2021 AGM deck, the February 2024 deck, three annual reports and the June 2026 call. Management turnover matters as well: the CFO who served through FY2025, Kamal Agarwal, resigned on 16 September 2025 and the company secretary on 18 March 2026 . The CFO on the June call, Deepak Bang, was appointed on 17 September 2025 , so he is speaking to targets he did not set.

Reading the table, a pattern shows. One-year guidance has been credible: FY2026 revenue grew 40% , FY2027 guidance of 25-27% is on pace at the standalone level, and DSO fell by 112 days in a year . Multi-year targets are another matter. The $25 million topline appears in the 2021 deck for 2024 with a 25% margin, and in the 2024 deck for 2026 with a 40% margin . By June 2026 it had become ₹300 crore in three to four years at 25-30% , about $34 million at ₹88/$ (my assumption) and a margin goal reset downward. I would score the CEO as reliable on this year and unreliable on a five-year horizon.

Management's candour on the hard topics deserves credit. The CEO said: “But definitely, trade receivables in government are not that encouraging” . The annual report discloses that the recurring share fell, that women fell to 24.6% of staff, and the DSO figure itself . That

cuts against cheerleading. But the same report carries a note, apparently left over from drafting, that its external market-research sources “should be independently verified” before the report is issued , and it uses three revenue bases for FY2025. These are small lapses, yet they are exactly the kind of untidiness that deserves a question on the next call.

Walk through one invoice. SoftTech builds a permit system for a state urban department. In the first months it writes code and configures rules for the state's bye-laws; the state has not yet accepted anything, so nothing can be billed. Under the accounting rules the company recognises revenue as work progresses and records the difference as a contract asset, which is simply work done and not yet invoiced. Then come milestones, user acceptance, a payment approval chain, and finally a retention, the 1-2% the CFO described, which the treasury holds back . Each stage is a place where a day becomes a month. That is how a business with ₹133 crore of revenue ends up with ₹88 crore of receivables and unbilled work .

If you were sitting across from the CFO, here is what I would ask. How much of the ₹52.8 crore of unbilled work was invoiced in the last six months, and how much has been unbilled for more than a year? What would DSO be if the retention money were excluded? How much of the ₹36.5 crore of development spend was salaries of staff who also work on customer projects? And why did the definition of recurring revenue change between the FY2025 and FY2026 annual reports? Good answers are numbers. Evasive answers are adjectives .

Munger's line applies: show me the incentive and I will show you the outcome. A company that sets a target for a date three years out, then restates it when the date approaches, is rewarded in every conversation before that date. The practical rule for you is to weight what a management team has delivered over twelve months far more than what it expects to deliver in five years. On that scale SoftTech's FY2026 was a good year: revenue up 40%, DSO down by a third and the order book near ₹230 crore .

A plain-language recap. Demand signals are healthy: the order book has risen more than twofold since 2023 and the pipeline fourfold . Cash is improving but remains the weak link, because more than half of the receivable burden is unbilled work and the free cash flow is about zero . The cost of building product is large and mostly capitalised, which flatters EBITDA and burdens later profit through amortisation . New streams such as TDR and the

port twin are real but small so far . And management's promises are best believed in one-year doses.

> **NARRATOR'S REFLECTION**
>
> Management has shown it can grow fast, trim DSO and sign marquee government contracts. It has not shown that growth turns into free cash, or that five-year targets survive contact with the calendar. Watch three things in the next results: DSO against the 200-day goal, unbilled work, and whether the eTDR line reaches the revenue the CEO described.

CHAPTER VI

Chapter 6

> *"As a result, free cash flow improved markedly during the year, moving from Rs. (4.85) Cr in FY25 to Rs. (0.09) Cr in FY26."*
>
> — SOFTTECH ENGINEERS LTD, ANNUAL REPORT 2025-26, MANAGEMENT DISCUSSION AND ANALYSIS, SECTION 8.3 (STANDALONE FREE CASH FLOW)

Start with the number people argue about. For the year to 31 March 2026, SoftTech's audited consolidated profit after tax was ₹5.33 crore, of which ₹4.94 crore belongs to the parent's shareholders. The standalone company, meaning the Pune parent on its own without its nine subsidiaries, earned ₹9.57 crore . Both are right. They measure different perimeters, and FY2026 has no exceptional item in either. The only exceptional charge in the recent record is a ₹0.78 crore impairment of the Finland subsidiary in FY2025, and it appears only in the standalone accounts . Some third-party pages carry a standalone FY2026 profit of about ₹18.8 crore. It matches nothing in the filed statements, where standalone profit before tax is ₹12.99 crore, profit after tax ₹9.57 crore and total comprehensive income ₹6.44 crore . I treat it as wrong.

The same split explains the latest quarter. For Q2 FY2027, the three months to 30 September 2026, consolidated profit was ₹0.21 crore (₹0.11 crore to owners) and standalone profit was ₹3.63 crore . Aggregator headlines of ₹0.21 crore are quoting the consolidated line ; the ₹3.63 crore is the standalone line of the same filing. Neither is a typo and neither is the 'real' profit. For a shareholder in the listed company, the consolidated figure is the honest one, because it includes every rupee the group spends, including on its overseas start-ups.

Read the gap line by line. In FY2026 the subsidiaries added ₹4.60 crore of revenue but ₹5.47 crore of employee cost and ₹1.34 crore of other expense. The parent's other income of ₹5.49 crore, which includes ₹0.57 crore of interest on debentures it holds in its own subsidiaries and ₹1.68 crore of foreign-exchange gains, shrinks to ₹3.64 crore on consolidation. So ₹12.99 crore of standalone pre-tax profit becomes ₹8.93 crore . In Q2 FY2027 consolidated revenue is even ₹1.17 crore below standalone; the filing does not say why, and intra-group billing eliminated on consolidation is my likely reading .

The tax line is the real oddity. Tax is paid by the parent on its own profit, so consolidated tax (₹3.60 crore) is almost the same as standalone tax (₹3.41 crore) even though group profit is ₹4.06 crore lower. The consolidated tax note says so in plain words: ₹1.21 crore of FY2026 tax, and ₹1.48 crore in FY2025, is 'non-creation of deferred tax on losses in subsidiaries' . Losses in the overseas companies earn no tax credit because the group has not booked a future benefit for them. That is why the effective rate is 40% in FY2026, 59% in FY2025 and 77% in Q2 FY2027, against 26% for the parent alone . The same pattern shows in FY2023 (44%) and FY2024 (41%) . It is not a trick. It is the cost of running loss-making start-ups inside a profitable Indian parent, and it will stay until those subsidiaries earn money.

Now the long arc, ten years. The 2018 annual report is standalone only: revenue of ₹46.7 crore in FY2017 and ₹51.5 crore in FY2018, profit after tax ₹4.9 crore and ₹6.8 crore, under the old Indian accounting rules . The feed's consolidated series starts in FY2019 at about ₹63 crore of revenue and ₹7 crore of profit . FY2020 was ₹57.95 crore and ₹6.49 crore . Then the pandemic year: revenue fell 28% to ₹41.6 crore in FY2021, and profit, restated to Ind AS, was ₹2.58 crore . Recovery followed: ₹57.5 crore in FY2022, ₹65.4 crore in FY2023, ₹78.8 crore in FY2024, ₹95.2 crore in FY2025 and ₹132.9 crore in FY2026 . Revenue is 3.2 times FY2021 and 2.1 times FY2019. Profit has not followed. Consolidated profit after tax for FY2022 to FY2026 was ₹4.65 crore, ₹3.62 crore, ₹3.32 crore, ₹1.33 crore and ₹5.33 crore, a five-year total of ₹18.25 crore on ₹430 crore of cumulative revenue .

Here is the FY2026 margin bridge per ₹100 of consolidated revenue. Purchases of traded software, net of stock change, cost ₹14.5. Employees cost ₹24.8. Other expenses cost ₹36.5, a line that holds ₹9.4 of credit-loss provision (₹12.49 crore) and, in the parent, ₹22.24 crore of outsourced technical consultants, up from ₹13.96 crore . What remains is EBITDA of ₹24.2, or ₹32.19 crore, which is earnings before interest, tax, depreciation and amortisation. Depreciation and amortisation take ₹17.2. Interest takes ₹3.1. Other income adds ₹2.7. Pre-tax profit is ₹6.7. The feed's waterfall tells the same story in rounded form .

The margin did not improve in eight years. EBITDA margin was 25% in FY2019 and 24% in FY2026 . What changed is below that line. Depreciation and amortisation rose from ₹4

crore, about 6% of revenue, in FY2019 to ₹22.8 crore, 17%, in FY2026, so pre-tax margin fell from about 17% to 6.7% . Interest is the smaller drag. Finance cost was ₹4.07 crore in FY2026: ₹3.18 crore on borrowings and ₹0.71 crore on lease liabilities in the parent . EBITDA covers that 7.9 times. EBIT, which is EBITDA less depreciation and amortisation and before other income, covers it only 2.3 times.

Why does amortisation keep climbing? SoftTech writes its own software, the Civit suite for building permits, infrastructure and construction. Under Ind AS 38 it capitalises eligible development cost, meaning it records the spend as an asset instead of an expense, and amortises it straight-line over four years once the product is available for use. Until then the money sits in 'intangible assets under development' . The auditor makes this a key audit matter 'due to the significant value of the development costs', and the notes concede that 'there is significant management judgement and estimate involved' in deciding which costs qualify . In FY2026 ₹36.48 crore went into the under-development account, ₹33.05 crore moved into finished software and ₹20.43 crore of internally generated software was amortised . Put those next to EBITDA and you see how much of 'operating profit' is really re-invested engineering.

Read the last column with care. It is a sensitivity, not a restatement. Some capitalised cost is genuine asset-building, and the notes do not split capitalised salary from contractor cost, so I cannot say how much would have been an expense in a stricter regime. But the direction is clear: in FY2024, FY2025 and FY2026 the group would have reported a pre-tax loss had it expensed development as it went. Cash tells the same tale. Across FY2022 to FY2026 the group paid ₹117.16 crore for intangibles against cumulative EBITDA of ₹110.45 crore .

And the pile is growing. Software under development rose from ₹19.56 crore in March 2026 to ₹42.66 crore in September 2026, while finished software fell from ₹70.65 crore to ₹58.18 crore . If that ₹42.66 crore entered service on a four-year life it would add about ₹10.7 crore a year of amortisation, against Q2 FY2027 EBITDA of ₹7.98 crore for the quarter and depreciation and amortisation already at ₹6.85 crore . That is arithmetic, not a forecast: it assumes no new revenue from those products. It is why I watch the amortisation line more closely than the EBITDA line.

Look at what the March 2026 balance sheet holds. Total consolidated assets are ₹253.54 crore. Capitalised software is ₹70.65 crore, software under development ₹19.56 crore, trade receivables ₹34.63 crore and unbilled contract assets ₹53.52 crore. Those four lines are ₹178.4 crore, 70% of everything the group owns . Plant and equipment is just ₹3.62 crore. This is an asset-light business whose assets are code and promises of payment. Goodwill is nil: the only goodwill ever created, ₹0.16 crore on buying the German company, was written off in full in the year of purchase .

Investments tell a second story. The parent has put about ₹28.1 crore into subsidiaries, ₹13.7 crore of equity and ₹14.4 crore of optionally convertible debentures . In FY2026 it injected ₹11.25 crore into SoftTech Digital AG, the German company, which in its first months produced no revenue and a ₹0.63 crore loss . Provisions of ₹0.74 crore already sit against subsidiary investments, mostly the Finland debentures . A loss that never touched profit also deserves a mention: the parent's stake in QI Square Singapore was marked down from ₹4.60 crore to ₹1.29 crore, a ₹3.31 crore hit taken through other comprehensive income and so absent from the profit figures above . One consolidation quirk too. Group cash of ₹12.71 crore at March 2026 looks like a ₹10.1 crore rise, but the parent held only ₹1.16 crore. The German subsidiary has ₹10.57 crore of assets against ₹11.35 crore of share capital, so the 'increase' is mostly money moved from the parent's fixed deposits to Germany, not new cash .

Gross debt barely moved, ₹34.4 crore to ₹31.7 crore, but look at the mix. Seventy-two percent (₹22.93 crore) is bank working-capital lines secured on receivables and stock and backed by personal guarantees and equitable mortgages on the managing director's and his wife's flats . ₹3.02 crore is loans from those two directors at 10%. The non-bank lenders charge about 11.25%, bank lines 7.7% to 10.25% . So the group pays 8% to 11% for money it needs mainly because customers pay slowly. Net of liquid funds it had ₹4.06 crore of net cash at March 2026 before leases and ₹3.03 crore of net debt after them; by September 2026 liquid funds of ₹28.06 crore were below borrowings of ₹32.12 crore . Two debt-like items sit outside that table: ₹13.43 crore owed to suppliers for capital purchases, up from ₹7.90 crore, and ₹6.22 crore of fixed deposits pledged to lenders . Contingent liabilities, disputes not provided for, total ₹5.10 crore: ₹3.63 crore of income-tax demands (chiefly a

₹2.75 crore reopening of assessment year 2018-19), ₹1.39 crore of GST and ₹0.08 crore other. Management expects no material cash outflow .

Now the part that matters most. Receivables come in two pieces. Trade receivables are invoices already sent. Contract assets, also called unbilled revenue, are revenue booked under percentage-of-completion accounting but not yet invoiced. Add them and you get what customers owe or will owe: ₹88.15 crore at March 2026 on ₹132.90 crore of revenue, or 242 days. That is down from 628 days in FY2021 and 366 in FY2025 . Management's own figure for the standalone company is 260 days, down from 462 in FY2022, and the annual report sets a goal of 'bringing DSO below 200 days' . The feed's 95 debtor days covers trade receivables alone and misses the larger half. Its cash-conversion cycle of minus 256 and minus 108 days for FY2025 and FY2026 is an artefact of netting a large payables balance against a small purchases base; ignore it .

Who owes it? The filings do not split receivables between government bodies and private customers. The annual report says only that revenue is 'concentrated in a single customer type (government)' , and I could not size that exposure. What is disclosed: ₹1.79 crore is owed by the Dubai subsidiary, up from ₹0.74 crore . A municipality that approves a budget in one year and pays in the next is slow money, and the ageing below shows it.

The ageing is the uncomfortable part. Of ₹40.83 crore of gross trade receivables, ₹17.28 crore (42%) is more than a year old and ₹4.97 crore is older than three years. The allowance covers 72% of the oldest bucket but only 12% of the one-to-two-year bucket, so cover on everything over a year is 31% . On the unbilled side there is ₹64.89 crore of gross contract assets with an ₹11.37 crore loss allowance, up from ₹2.04 crore. Together the group holds ₹17.65 crore of allowances against ₹105.72 crore of billed and unbilled claims, 16.7%, up from ₹5.16 crore a year earlier . The FY2026 charge of ₹12.49 crore compares with consolidated pre-tax profit of ₹8.93 crore. Bad debt is not new: the annual reports show write-offs of ₹0.92 crore in FY2018 and ₹0.37 crore in FY2021 . What is new is the scale, and the timing: parent other expenses jumped to ₹24.80 crore in Q4 against ₹7.87 crore in Q3 .

Returns on capital are the verdict on all of this. The feed's ROCE, operating profit after depreciation over capital employed, was 13% in FY2020 and 6% in FY2026, with 4% in

FY2025 . Here is my own version for FY2026, consolidated. EBIT of ₹9.36 crore (pre-tax profit plus interest, less other income), taxed at the 25.17% statutory rate, gives net operating profit after tax of ₹7.01 crore. Invested capital, meaning equity plus borrowings plus leases less cash and liquid funds, averages ₹171.0 crore. Return on invested capital is 4.1%. Add back the credit-loss charge and it is 9.6% . The company's own lenders charge 7.7% to 11.25%, so a 4.1% return does not cover even the cost of debt. A sensible hurdle for the equity of a small Indian software company is 12% to 15%; that is my assumption, not a filed number. Return on equity was 2.9% on owners' equity (management quotes 3.1% on total equity, and 5.2% for the parent alone) , and the feed puts the three-year average near 2.1% .

Cash flow is where the story turns. Consolidated operating cash flow was ₹31.26 crore in FY2026, nearly six times profit after tax and 97% of EBITDA . Do not applaud yet. Operating cash flow is struck before the cash spent on software development, which the accounts file under investing. Subtract that and free cash flow, operating cash less money spent on equipment and capitalised development, was minus ₹1.30 crore. The feed shows free cash flow negative in every one of the eight years from FY2019 to FY2026, adding to about minus ₹46 crore . Warren Buffett wrote in Berkshire Hathaway's 2000 annual report: 'References to EBITDA make us shudder - does management think the tooth fairy pays for capital expenditures?' Capitalised software is that question in a new costume.

The bridge shows what lifted FY2026 operating cash. The ₹12.98 crore credit-loss add-back is 28% of cash earnings before working capital; it is not cash, but it is also a confession that earlier revenue did not convert. Working capital then absorbed ₹10.46 crore: trade receivables released ₹5.60 crore, but contract assets and stock absorbed ₹12.72 crore and payables fell ₹7.13 crore . After the ₹3.44 crore of interest and ₹1.79 crore of lease payments that sit in financing, the shortfall was ₹6.5 crore. The group met it by redeeming a net ₹15.7 crore of fixed deposits, which had been built up in FY2025 when the December 2024 equity issue came in . In the first half of FY2027 operating cash was ₹15.86 crore against ₹22.08 crore spent on development and equipment, a ₹6.23 crore shortfall (₹11.05 crore a year earlier), and the group drew ₹8.92 crore of new term loans .

Who funded the gap? Over FY2022 to FY2026, EBITDA of ₹110.45 crore became ₹96.92 crore of operating cash, 88%. The group then spent ₹122.92 crore on development and

equipment, a ₹26.0 crore hole before ₹20.33 crore of finance cost. New shareholder money was ₹83.35 crore. Borrowings did not fund it: consolidated debt was ₹32.08 crore at March 2021 and ₹31.74 crore at March 2026 . Customers certainly did not. They are the ones being funded, to the tune of ₹88 crore of unpaid claims. The growth of the last five years was paid for by outside equity investors.

Now per-share arithmetic. Shares outstanding rose from 94,22,476 at the 2018 listing to 1,38,42,138 today, up 47% . Consolidated earnings per share in the feed went from ₹7.87 in FY2019 to ₹3.57 in FY2026 . Outside investors put in ₹102.3 crore of new equity across the IPO and three placements, while the group earned about ₹34 crore in total over FY2019 to FY2026 on the feed's rounded figures . Where did the issue proceeds go? The statement of deviation says nothing was diverted from the stated objects. Of ₹83.30 crore received across the 2021, 2022 and 2024 issues, ₹68.54 crore was used by March 2026: ₹55.77 crore 'to support the expansion of business in Indian and Overseas market' and ₹12.78 crore for general purposes, with ₹14.76 crore left in mutual funds and fixed deposits . By June 2026 ₹33.14 crore of the ₹33.29 crore 2022 issue was used and ₹26.17 crore of the ₹40.01 crore 2024 issue . 'Expansion' is broad enough to cover capitalised software, and the filings do not break it down. For the 2021 issue the early record is specific: by March 2022 ₹2.54 crore of ₹4.47 crore spent had gone to Civit development .

The owners behind the share count have changed. Promoter holding was 32.05% in March 2024, 20.35% in June 2024 and 18.89% since December 2024 . The fall followed a June 2024 agreement under which Vijay Gupta, Udyat Indian Ventures LLP and Covisible Solutions sold 25,00,000 shares, 19.5%, to Einstein Work Pte Ltd, which then also took part of the December 2024 issue . Einstein holds 23.41% today . I found no pledge of promoter shares in the annual report or the feed. What is pledged is ₹6.22 crore of bank deposits and the promoters' personal flats and guarantees for bank lines . Stock options are small: ESOP expense was ₹0.78 crore in FY2026 and ₹1.34 crore in FY2025, and 4,200 options at ₹10 were granted to the new chief financial officer in June 2026 . The FY2026 option table does not roll forward cleanly: 60,000 opening plus 35,000 granted less 35,000 shares issued is not the 25,000 reported .

Governance deserves a plain list. The auditor, P G Bhagwat LLP, has served since the 30 September 2021 annual meeting . It gave unmodified opinions with two key audit matters for FY2026: revenue on fixed-price contracts and capitalised development cost, the latter marked as a key matter 'for the current year' . The Board reports no qualifications or adverse remarks . The audit report on legal requirements does contain a notable item. Quarterly statements filed with the working-capital banks did not agree with the books: for March 2026 the composite of contract assets, receivables, payables, purchases and sales was ₹240.19 crore in the bank return against ₹256.14 crore in the books, and the December 2025 return ran ₹12.35 crore above the books. Management calls the returns provisional and says it will resubmit if permitted . The secretarial auditor notes one late transfer of ₹10,000 of unpaid dividend to the investor protection fund, 125 days late .

Related-party and people items. The managing director drew ₹81.00 lakh of salary, ₹62.22 lakh of non-compete fees and ₹29.81 lakh of interest on his loan to the company in FY2026, ₹1.73 crore in all, equal to 32% of consolidated profit after tax . Another executive director's pay rose from ₹14.46 lakh to ₹80.71 lakh . The chief financial officer resigned in September 2025, a new one joined the next day, and the company secretary resigned in March 2026 . The related-party note lists seven directors, four of them independent, with the managing director also chairman and chief executive . None of this is alarming on its own. Together with the bank-return mismatch, the heavy loss allowance and a new key audit matter, it says controls are still catching up with the company's growth.

So what is the earnings quality, in plain words? Reported profit is thin and soft: ₹5.33 crore on ₹132.90 crore of revenue in FY2026, after a ₹12.49 crore credit-loss charge, and a loss if development spend were expensed. The cash is real at the operating line, where EBITDA converts at 88% to 97% over five years, but every rupee of it and more goes back into building software, so free cash flow is negative year after year. Revenue turns into cash slowly (242 days) and, for a growing slice, not at all. The business is funded by new shareholders, not by customers or lenders. Returns, 4.1% on my arithmetic, are below the cost of money. What would change my mind is two or three consecutive years of positive free cash flow with days outstanding under 200, falling allowances and amortisation growing slower than revenue.

Picture a municipal engineer in a mid-sized Maharashtra city. A builder submits a plan, the engineer opens a screen, the software checks the drawing against the rules, and an approval number comes out in days instead of weeks. SoftTech books revenue as plans are approved or transactions are processed, and the city is billed later. Some months later a finance officer in the municipality processes the bill, subject to a budget line and a sign-off. That gap between 'work done' and 'cash received' is the 242 days in this chapter. Now picture the other side: a team of engineers in Pune writing the next version of the product, paid every month in cash, with the cost put on the balance sheet instead of the profit statement. Both facts sit in the same accounts, and they pull in opposite directions.

If I were across the table from the finance chief, I would ask five things. Which customers make up the ₹17.28 crore of trade receivables older than a year, and are they governments or developers? What exactly was written down in Q4 FY2026, and why then? How much of the ₹36.48 crore capitalised in FY2026 was salary and how much was contractor fees? When will the ₹42.66 crore now under development start earning, and what amortisation should I model? And why did the March 2026 bank return understate the books by ₹15.95 crore in composite terms? The answers matter more than any quarterly profit.

An old accounting saying has it that profit is an opinion and cash is a fact. SoftTech is a useful case because both are visible at once. The opinion, ₹5.33 crore, rests on judgements about which engineering costs are assets and which revenue will be collected. The facts, ₹31.26 crore of operating cash and ₹30.50 crore paid to developers, are harder to argue with. Buffett's tooth-fairy line about EBITDA exists precisely for companies where the cost of staying in business hides below the operating line.

Here is the one-paragraph recap. SoftTech's revenue has tripled since FY2021. Its operating margin has been about a quarter of sales the whole time. Almost all of that margin is being re-spent on building software, which then shows up as rising amortisation. Customers pay in eight months or more, so the group borrows from banks and promoters and, above all, raises equity. The last five years consumed ₹83 crore of new equity to produce about ₹18 crore of profit. The product investments may well pay off, since an installed base of permit systems is sticky, but the numbers so far describe a business that is building, not yet harvesting.

NARRATOR'S REFLECTION

The two profit numbers people quote, ₹5.33 crore consolidated and ₹9.57 crore standalone, are both correct and neither is the whole story. The deeper facts are that the business turns roughly every rupee of EBITDA back into capitalised software, that customers take about eight months to pay, and that outside equity has paid for the last five years of growth. The next proof point is not a bigger revenue line; it is a year of positive free cash flow with the receivable days below 200.

CHAPTER VII

Chapter 7

> *"In the short run, the market is a voting machine but in the long run it is a weighing machine."*
>
> — BENJAMIN GRAHAM, AS QUOTED BY WARREN BUFFETT

Start with what you would actually pay. SoftTech last traded at ₹425.90 on 13 November 2026, up 1.18% on the day, after a verified close of ₹420.95 on 12 November, the last session whose benchmark close was confirmed when I built the ledger . On 1,38,42,138 shares outstanding that is an equity value of about ₹590 crore; TradingView shows ₹578 crore because it counts shares slightly differently . Add ₹10.5 crore of net debt (borrowings of ₹32.12 crore plus leases of ₹6.43 crore, less ₹28.06 crore of cash and funds at 30 September 2026) and the enterprise value, the price of the whole operating business, is about ₹600 crore.

Now set that against what the business earns. Trailing twelve-month consolidated sales are about ₹144 crore and earnings per share ₹3.59, so the stock trades at 119 times earnings, 3.4 times a book value of ₹125 a share, and about 4.1 times sales . On operating profit of ₹35 crore the multiple is about 17 times. That last number flatters the stock. Chapter 6 showed that SoftTech capitalised ₹36.5 crore of software development in FY2026, which is 113% of that year's ₹32.2 crore EBITDA . If engineering is a cost of staying in business, as I think it is for a product company, cash earnings before tax were roughly zero. The 17 times is a multiple of a number that has not yet reached shareholders.

The screening tool that feeds this dossier labels the valuation “Reasonable / In-line”. I do not agree, and you should know why. That label compares the multiple with a growth-adjusted band and does not look at return on equity, which is 2.9% . A company that earns 2.9% on shareholders' money and trades at 3.4 times book is asking you to pay for returns it has not yet produced. The multiple is a bet on the years after FY2028, not a description of today.

The pattern in that table is the story. Between FY2019 and FY2023 the shares traded at 6 to 36 times earnings while earnings per share fell from ₹7.87 to ₹3.94. From March 2023 to

March 2025 the price rose 148%, from ₹142 to ₹352, while earnings per share fell from ₹3.94 to ₹0.95 . Nobody paid 371 times earnings in March 2025 because of earnings. They paid for revenue growth, the order book and the promise of a platform. The price then fell 38% over the next twelve months and still closed March 2026 at 61 times a profit that had rebounded. The multiple has behaved like a floating number that follows the mood about growth. Today's 119 times sits in the upper half of its own history.

Here is how the stock got to ₹426. It listed on NSE's SME platform in May 2018 at an issue price of ₹80 and closed its first day at ₹72 . By October 2018 it had fallen to ₹39.50, down 51% from the issue price. The COVID low of ₹34.20 came on 24 March 2020. The shares then climbed to ₹130 in November 2021, ₹197 in September 2022 and ₹266 in October 2023, with a dip to ₹130 in June 2023 along the way. The big move came in 2024, when the price rose 146% from ₹229 in January to an all-time closing high of ₹564.25 on 13 December 2024. In that same month the company issued new shares to Einstein Work and Florintree at ₹405 each . Then came the fall: ₹306 by March 2025 and a low of ₹218.65 on 30 March 2026, 61% below the peak and the deepest drawdown in the stock's history. A 140% rally followed, to ₹525.70 on 18 September 2026, and the price has since given back 20% of it .

Put those eight years in one sentence. The shares have returned about 21.7% a year from the ₹80 issue price, 5.3 times the money, against a 139% gain in the Nifty 50 over the same period, but with three separate drawdowns of more than 50% along the way . Realised volatility, the size of the daily swings, is 48% annualised over the last twenty sessions and 40% over sixty, and fifteen of the last 250 sessions moved more than 5% . That is a stock whose price is set by a small and changing group of buyers rather than by institutions that hold through the quarters. The latest shareholding table shows foreign investors at 0.00%, the public, which includes every non-promoter holder, at 81.1%, and 2,355 shareholders in total .

Now the question that matters: what does ₹600 crore of enterprise value assume? A reverse discounted-cash-flow model answers it. Instead of forecasting and then valuing, you fix the price and solve for the growth that justifies it. I used a ten-year model with these inputs. Revenue grows at a constant rate for five years, fades to 7% by year ten and then grows 5%

forever. EBITDA margin climbs from 25% to a target by year five. Reinvestment, meaning capitalised development plus equipment, falls from today's 27% of revenue to 12% by year eight. Each extra rupee of revenue ties up 35 paise of receivables and working capital. Tax is 27% of EBITDA less reinvestment. Cash flows are discounted at 13%, which is my judgement and not a derived figure: it starts from the 7.08% equity risk premium Damodaran estimates for India , and I did not verify a current rupee government-bond yield for this run, so I treat 12% to 14% as a reasonable range for a small, thinly traded company with a long collection cycle. The table shows all three rates.

Read the table this way. At a 13% discount rate and a 28% margin, the price needs revenue to compound at 35% a year for five years, from ₹133 crore to about ₹604 crore in FY2031. Even with the friendliest settings in the table (12% discount rate, 32% margin, reinvestment falling to 10% of revenue, working capital at 25 paise per rupee) the requirement is 21% a year, to ₹347 crore. SoftTech grew 39.5% in FY2026 and 20.4% in the first half of FY2027 , and its own long-range aim is ₹300 crore in three to four years . At the standard settings the price therefore assumes that the company outruns its own plan. At the most generous settings, management's plan is worth up to ₹408 a share, about 4% below the price, so the plan itself is roughly priced in and anything that falls short of it is not.

Take management's own plan at face value: ₹300 crore of revenue in four years, a 22.6% compound rate, at a 28% EBITDA margin . Under the standard settings and a 13% discount rate that is worth ₹222 a share. Under the light settings it is worth ₹293, and with a 12% discount rate ₹355. At a 30% margin the same three values are ₹267, ₹338 and ₹408. Every one of them sits below ₹425.90. The market is already paying for management to hit its target and then some.

A second check uses earnings. If ₹300 crore is reached in FY2030 at a 28% margin, with amortisation near ₹45 crore, earnings per share would be about ₹18.3. At 30 times that is ₹548, a 7.7% annual return over the 3.4 years from today's price. At 40 times it is ₹731, or 17.2% a year. Only the second outcome beats a 13% hurdle, and it needs both the plan to be hit and a premium multiple to survive. SoftTech's history on long-range plans is not encouraging: the February 2024 roadmap promised three times revenue in three years and

delivered 2.03 times, and the 25-county US ambition has no disclosed county count to show for it .

Peers keep us honest. I found no listed Indian company that sells the same permit rule-engine software, so the comparison set is imperfect: Indian software-product and engineering-services companies of similar or larger size, taken from the same-session snapshot .

Read ROE and the multiple together. SoftTech's 119 times earnings is 3.7 to 7.3 times the multiples of MapmyIndia (31.7x), Cyient (32.5x), Datamatics (18.9x) and Nucleus (16.4x), and those four earn returns on equity of 17.1%, 7.0%, 14.5% and 11.3% against SoftTech's 2.9% . Only Ramco Systems, at 71 times, trades anywhere near SoftTech's multiple, and its 8.7% ROE and its history, described next, are not a comforting neighbourhood. SoftTech's trailing revenue growth of 35% is three to eighteen times that of the peers, whose growth ranges from 2% to 11%, and that is the one reason a premium is defensible. How large a premium is a judgement call. On return on equity the gap is not close. One caution on the table: TradingView's 8.2% operating margin for SoftTech is measured after depreciation and amortisation, which is why it sits far below the 24-26% EBITDA margin used elsewhere in this report.

Why Ramco rather than a famous global name? Because the mechanism is local and specific: large receivables and unbilled revenue, capitalised product development and a run-up built on growth. SoftTech has all three, on a smaller scale. I am not saying SoftTech will repeat Ramco's provision. I am saying that one larger write-off would remove the earnings that today's price is capitalising, and that the price falls first and the provision follows, as the Ramco dates show.

From the reverse DCF I move to my own forward view. I model FY2028, the year to March 2028, because it is far enough out for the product investments to show up in earnings and near enough to forecast. Revenue, margin, amortisation, interest, other income and tax follow the patterns in Chapters 5 and 6. The value comes from a multiple of earnings in the base and bull cases and a multiple of book value in the bear case, where earnings are negative.

Here is the story behind each row. In the bear case collections slip, a JNPA-sized order does not repeat, the German and US subsidiaries keep losing money, and amortisation climbs faster than revenue as the ₹42.7 crore of software under development at September 2026 goes live . The group makes a loss in FY2028 and the stock is valued on its book. In the base case revenue grows about 21% a year, from ₹133 crore to ₹195 crore, the margin holds at the 25.5% of the last three years, amortisation rises to ₹35 crore and the tax rate stays high at 35% because subsidiary losses persist. EPS reaches ₹5.97, two-thirds above today's trailing figure, and the multiple compresses from 119 times to 50 times as growth settles. In the bull case revenue reaches ₹235 crore, a 33% annual rate, as the JNPA order executes, a Middle East permit win lands and the TDR exchange scales; the margin reaches 29%, the tax rate falls to 28% and EPS reaches ₹14.78 at 55 times.

The probability-weighted value is ₹369, 13.5% below ₹425.90. Do not read that as a forecast. Read it as a test of the price. With the bear case held at 30%, the price is fair only if the bull case has a 31% chance instead of 20%. Put another way, today's price already assumes that roughly one outcome in three is the good one, at a time when the three things that would make it good, a second large port or airport order, a first major overseas permit deployment and meaningful TDR volumes, have not yet produced material revenue .

Imagine for a moment that you owned all of SoftTech and a buyer offered ₹600 crore for it today. The first thing you would ask the buyer is what he plans to take out of the business each year. He would say, honestly, nothing for a few years, because the business spends everything it earns on the next product. A buyer who pays ₹600 crore for a business that returns no cash for years is not buying today's profits. He is buying a view of 2031. That is the position every shareholder is in at ₹426.

Think of a reverse DCF as asking a landlord what rent a building must earn to justify the asking price. If the landlord says the rent must triple and the tenants must never default, you do not argue about the paint. You ask whether tripling the rent has ever happened in that street. For SoftTech the street is Indian government software, where the recorded history is of collection cycles measured in years and platforms replaced by state governments within four.

What would I ask the CFO about this chapter? Three things. How much of the ₹36.5 crore capitalised in FY2026 is maintenance of existing products and how much is genuinely new? What portion of the ₹53 crore of unbilled work has been invoiced and collected since March? And at what level of group profit does the tax rate stop being 40% to 77%? The answers decide whether the base case in this chapter is too cautious or not cautious enough.

NARRATOR'S REFLECTION

A price is a set of assumptions you have not written down yet. Here they are: five years of growth near 30%, margins near 28% and a reinvestment burden that halves. None is impossible. All of them together, with no cash return until the early 2030s, is a narrow road. Ask yourself whether you are being paid for walking it.

GLOBAL PARALLEL • INDIA, ENTERPRISE SOFTWARE, 2021 TO 2024 • RAMCO SYSTEMS LTD (NSE: RAMCOSYS) (CYCLE_VALUATION)

An Indian software-product company that capitalised product development and carried large trade receivables and unbilled revenue had a very strong share-price run, from ₹68.20 on 22 May 2020 to ₹753.70 on 11 January 2021, an elevenfold gain . After a strategic review of project viability and the recoverability of old receivables, it booked a one-time provision of ₹107.2 crore in Q2 FY2024, part of ₹123.6 crore of provisions on trade receivables and unbilled revenue in the first half . ICRA noted that the company capitalises a significant share of its research and development spend every year . The share price fell 74.6%, from ₹753.70 on 11 January 2021 to ₹191.10 on 31 March 2023 . Q2 FY2024 net loss was ₹145.8 crore on operating income of ₹126.8 crore, and ICRA cut the long-term rating to BBB+ (Negative) from A- (Negative) on 8 November 2023 . The FY2024 consolidated net loss was ₹241.9 crore on income of ₹529.9 crore . A software multiple that rests on bookings and unbilled revenue can last until a provision shows how much of that revenue never became cash. SoftTech reports about ₹53 crore of unbilled contract assets, roughly 40% of gross trade receivables older than a year and a FY2026 credit-loss charge of ₹12.49 crore, bigger than group pre-tax profit . The market's patience for the multiple depends on those lines more than on the order book.

CHAPTER VIII

Chapter 8

> *"The trend is your friend until it bends."*
>
> — MARKET MAXIM

Before the chart, a word about dates. The benchmark index had no verified final bar for 13 November when I built the ledger, so this report's verified session is 12 November, when SoftTech closed at ₹420.95. The TradingView read used below was taken after the 13 November session. It shows a last price of ₹425.90 and a volume of only 816 shares for that day, which I treat as provisional . Moving averages, RSI and pivot levels are TradingView's. The weekly-average slope, volume tallies and liquidity figures are my own calculations from NSE daily closes .

Start with the stage. Stan Weinstein's four-stage framework asks one question first: where is the price relative to its 30-week average, and which way is that average pointing? Our pipeline's rule engine classifies SoftTech as Stage 4 with a timing posture of AVOID_STAGE4_OR_BROKEN and a technical gate of CAP_REJECTED, which forbids any new-capital buy label . I checked the slope the rule does not. The 30-week average is ₹431.16 and it has been rising: it was about ₹392 seven weeks ago and is roughly 15% higher than ten weeks ago . The price, at ₹425.90, is 1.2% below it. A classic Stage 4 has price under a falling average. What I see instead is a stock that doubled from its March low, ran into a volume climax in September and is now pulling back through its short averages while the long ones are still rising. That is closer to a late Stage 2 or early Stage 3 pause. The two systems in our own pipeline also disagree: the market-facts ledger, built from the 50- and 200-day averages at the verified 12 November close, labels the same chart Stage 3 (Topping / Pullback), which matches my reading better than Stage 4 does. None of this changes the answer: the stricter rule controls entries, and valuation already says no.

The averages tell the same story in numbers. The price is below the 10-day average of ₹435.96, the 20-day of ₹431.10 and the 50-day of ₹451.06, and below the weekly 10-week EMA of ₹437.58. It is above the 200-day average of ₹387.28 by 10% and above the weekly

40-week EMA of ₹409.36 by 4% . The 200-day average has risen about 3% in the last twenty sessions and the stock has closed above it on each of the last 60 sessions . Short-term supply has the upper hand; the long-term trend has not been damaged.

Momentum is neutral to soft. Daily RSI is 44.9, weekly RSI 50.6 and four-hour RSI 46.9, none of them oversold or overbought. The 14-day average true range, the typical daily travel, is ₹27.16, which is 6.4% of the price and tells you how wide a stop must be to survive an ordinary day. The Bollinger band width of 12.5% says volatility is not squeezed, so there is no tight volatility-contraction pattern to buy. TradingView's summary rating is -0.27 overall, with -0.53 from the moving averages and 0.00 from the oscillators, which is a lean to the sell side without conviction .

Volume is where this stock is most honest. On 11 September SoftTech closed at ₹452.40 on 7,424 shares, 2.3 times its July to early-September average of about 3,250. Over the next five sessions it ran to ₹525.70 on 18 September, a day when 35,070 shares traded, 10.8 times the average and about ₹1.8 crore of turnover . By this stock's standards that is real demand. It was also the climax: the price fell 7.5% within four sessions and has given back 20% since. Across the last 50 sessions, shares traded on up days total 139,270 and on down days 140,521, a ratio of 0.99. There is neither quiet accumulation nor visible distribution, only a stock waiting for its next reason to move.

Relative strength is mixed. Over 252 sessions SoftTech is up 17.2% while the Nifty 50 is down 1.8%, so on a one-year view it is a leader. Over 126 sessions it is down 3.7% against a Nifty gain of 8.2%, and over 63 sessions down 0.5% against a gain of 3.4% . A leader that stopped leading three to six months ago is usually consolidating, and consolidations resolve either way.

Liquidity matters more here than for almost any stock you hold. Average daily turnover is about ₹20 lakh over 30 sessions, ₹21 lakh over 90 and ₹23.5 lakh over 250, with a median of ₹12 lakh and an average of 4,510 shares a day . Your net worth in the positions ledger is ₹42.92 lakh. A 5% position is ₹2.15 lakh, or 504 shares, 11.2% of an average day's volume; a 2% position is about 201 shares, 4.5%. You could get in. Getting out in a hurry on a bad day, in a stock that moved more than 5% in 15 of the last 250 sessions, would cost you more than

the stop suggests. Foreign investors hold 0.00% and there is no large institutional holder to provide a floor .

The levels you can actually see are these. The October to early-November range ran from ₹412 to ₹462 on closes. Overhead, the 50-day average at ₹451 and the first pivot resistance at ₹471.30 come before the 52-week high of ₹545 and the second pivot at ₹528.15. Below, the 30-week average and 20-day average near ₹431 are the first shelf, the 200-day average at ₹387 the second, and the first pivot support at ₹378.75 the third. The pipeline's rule places a reference support band at ₹373.07-₹384.43 and an invalidation level at ₹365.17 . Treat those as measuring sticks for risk and reward, not as a buy zone. Chapter 9 uses them to show why even a pullback to that band does not pay.

Multi-timeframe, the picture is a dislocation at a major shelf that has not yet been repaired. On the weekly chart the price sits just under a rising 30-week average and above the 40-week EMA, with weekly RSI at 50.6. On the daily chart it is under the 20- and 50-day averages and above the 200-day. On the four-hour chart it is under both the 20-period EMA of ₹431.01 and the 50-period SMA of ₹433.19, with RSI at 46.9 . The options-desk script describes the four-hour chart as turning up and above its EMA20. With the price at ₹425.90 and the EMA20 at ₹431.01 that sentence does not match the numbers, so I do not rely on it. The four-hour chart has not turned. The test of repair would be a close back above ₹431 and then ₹451 on volume well above 4,500 shares.

Is there a short-term trading edge? No, and for four independent reasons. The timing gate is CAP_REJECTED. Volume shows balance rather than accumulation. The stock's liquidity makes tactical entry and exit expensive. And Chapter 7 shows that the price, not just the timing, is the problem. If you want a short list of what would improve the chart: a higher low above ₹412, a close above ₹451 on twice the usual volume, and a weekly close above ₹462 that reclaims the whole October range. Even then the valuation gate in Chapter 9 would still say no.

Options give you no alternative route. SoftTech is not in the NSE futures and options segment, so the options desk records NOT_OPTIONABLE_OR_ILLIQUID and the only way to express a view is the cash share . The Robinhood session check applies only to the US

market and was not applicable here, and no TradingView browser tab was open, so the multi-timeframe read comes from TradingView's public data rather than a logged-in session.

The technical ledger below the chart mixes two dated sources, and you should read it that way. The close, 20-day, 50-day and 200-day averages, RSI and ATR in its first rows come from the market-facts ledger at the verified 12 November close (₹420.95, RSI 43.0, ATR ₹27.61, 50-day ₹450.37). The weekly averages, pivots, ratings and extension percentages come from TradingView's read after the 13 November session, which is why this chapter's text, quoting TradingView, shows ₹425.90, RSI 44.9 and a 50-day average of ₹451.06. The differences are small and none changes a conclusion. My own calculations from NSE closes (slopes, volume tallies, turnover) are labelled as such.

The sizing table is deliberately empty. The pipeline's tier for a rejected setup carries a risk budget of zero basis points, so the risk-adjusted weight is 0%. That is the rule working as designed: when the decision is not to own the stock, the answer to how much is nothing, and the levels in the table are reference values for the next review, not orders.

Here is how I would read the weekly chart if you handed me the printout. I would first find the 30-week line, the slow one. It points up and the price is hugging it from just below. Then I would look at the volume bars on the right. There is a tall spike in mid-September and nothing remarkable since. That tells me the buyers who wanted the stock in September have had their turn, and the next group has not arrived. I would not call it broken. I would call it undecided.

Liquidity is easier to feel than to calculate. Picture a theatre with a door that lets only a few hundred people out each day. In a calm week nobody notices. On the evening everybody wants to leave at once, the door is the whole story. When this stock trades about 4,500 shares a day and you own 500, you are one-ninth of the crowd at the door. That is the reason the stop in a thin stock is a promise your broker may not be able to keep.

NARRATOR'S REFLECTION

A chart answers one question: who is in control right now. Here the long-term buyers still hold the weekly trend and short-term sellers hold the daily one. When two groups disagree, price usually goes sideways until one of them runs out of patience. Your job is not to guess which. It is to avoid paying a premium price while the argument continues.

CHAPTER IX

Chapter 9

> *"You can't predict. You can prepare."*
>
> — HOWARD MARKS, OAKTREE MEMO, 2001

Let me argue the bull case the way its smartest owner would, using only numbers on file. FY2026 consolidated revenue grew 39.5% to ₹132.9 crore . In the first half of FY2027 consolidated revenue grew 20.4% to ₹64.82 crore, and standalone revenue grew 26.1% to ₹64.92 crore, with standalone EBITDA of ₹21.07 crore, a 32.5% margin, and standalone profit after tax up 69.5% . Orders in hand reached ₹302.35 crore at September 2026 against ₹232 crore at March, helped by a ₹92.95 crore digital-twin order from Jawaharlal Nehru Port Authority, and the sales pipeline stands at ₹625.57 crore . Recurring revenue rose 46.2% in the half and is now 43.5% of sales, up from 37.5% . Management guides to FY2027 growth of 25-27% and wants days sales outstanding below 200, down from 260 .

Four mechanisms could turn that into compounding. First, the product is hard to rip out once a city runs its building permits on it, and SoftTech rule engines serve more than 1,500 cities in 18 states . Second, the pay-per-use model charges every plan as it is scrutinised, so revenue rises with construction activity rather than with licence sales; it was ₹31.72 crore in FY2026, up 59% on the audited note's base and 38.6% on management's own base . Third, the Civit products are being re-used for ports, airports and industrial corridors, with JNPA as the first reference . Fourth, the TDR exchange taps a market the company puts at about ₹8,000 crore of annual transfers in Mumbai, where a 0.5% fee per trade would be ₹40 crore a year if the exchange captured all of it; first-half revenue from it was about ₹2 crore . If those four land together, operating leverage does the rest, and the bull case value of ₹813 is what a 55-times multiple on ₹14.78 of earnings looks like.

Now the other chair. Reported profit is thin. FY2026 consolidated profit after tax was ₹5.33 crore and earnings per share ₹3.57, less than half of the ₹7.87 earned in FY2019 . Free cash flow was negative in every year from FY2019 to FY2026; in the five years to FY2026 it consumed ₹26 crore after development spending, and ₹83 crore of new equity filled the

gap . The credit-loss charge of ₹12.49 crore in FY2026 was 1.4 times pre-tax profit, and roughly 40% of gross trade receivables are more than a year old . Return on invested capital was about 4% . In Q2 FY2027 consolidated profit after tax was ₹0.21 crore, down 35.7%, against ₹3.63 crore at the parent, because losses in overseas subsidiaries and a 77% tax rate cut the group number .

The moat is narrower than the pitch. Telangana replaced SoftTech's permit system with a rival's within about four years , a free government platform, UPYOG, offers a building-plan module to any state , and the “80% share” claim that appears in earlier decks is not repeated in the FY2026 annual report . One order, JNPA, equals about 70% of FY2026 revenue and 31% of the September order book; without it, orders in hand are about ₹209 crore, below the ₹232 crore at March . Two customers made up 19.7% of FY2026 revenue, a first for the last three years . The auditor's report records quarterly returns to banks that differed from the books by as much as ₹15.95 crore . And the stock has no institutional owner and trades about ₹20 lakh a day .

Here is my own judgement. The bull evidence is about growth and it is good: one-year guidance has been met, orders have risen and the new lines are real products. The bear evidence is about conversion, whether growth becomes cash and profit for shareholders, and it is stronger because it rests on eight consecutive years of audited statements rather than on guidance. The pipeline's closest business label is CYCLICAL_CONDITIONAL. SoftTech's condition is not a cycle. It is proof that the money coming in from customers and shareholders ends up as cash a shareholder can keep. That proof does not yet exist, and a price of 119 times earnings does not allow time for it to arrive.

Why these probabilities? The bear case gets 30% because the record gives it plenty of precedent: eight years of negative free cash flow, a credit-loss charge larger than profit, an order book that excluding JNPA is shrinking, a customer-concentration first, a state that replaced the platform and overseas subsidiaries that are still loss-making . The base case gets 50% because management has delivered its one-year targets, FY2026 growth of 40% and a standalone first half on pace (group revenue grew 20.4%, below the 25-27% guide), while missing the long ones: the February 2024 roadmap promised 3 times revenue in 3 years and delivered 2.03 times, and the 25-million-dollar topline target was pushed from 2024 to 2026

and then replaced by a rupee target . The bull case gets 20% because it needs a port or airport win beyond JNPA, a first major overseas permit deployment, TDR volumes that are today about ₹2 crore a half and an end to group tax drag, all within about eighteen months, and none of the four has yet produced material revenue .

Here is what that probability set means for the price. With the bear case fixed at 30%, ₹425.90 is fair only if the bull case has a 31% chance rather than 20%. The expected outcome is ₹369 and the median outcome, the base case, is ₹299. From today's price that is a 13.5% expected loss and a 29.8% loss in the single most likely outcome, against a 90.9% gain in the one outcome in five that goes well.

Be honest about how wide the margin is. Move 10 points of probability from the bear case to the bull case on my own base and the weighted value is about ₹431, roughly 1% above the price. A 13% annual return from ₹425.90 to March 2028 needs about ₹504, which only a bull-weighted view reaches. Each point of FY2028 EBITDA margin is worth about ₹0.85 of EPS, or about ₹42 a share at 50 times, and each five points of tax rate about ₹23. So the verdict leans on one number, FY2028 earnings power of about ₹6 a share. If audited results point to ₹9 or more, the base value rises to ₹450 and the answer changes. That is why the reopen conditions are about earnings and cash, not about the share price.

Now the verdict rule. The pipeline's anti-hedging rule says a non-rejected call must offer at least 1.5 to 1 reward-to-risk from its support zone, or it is rejected. The reference support band is ₹373.07-₹384.43 with an invalidation level at ₹365.17 . From the top of that band, risk is ₹19.26 a share. The base value of ₹299 sits below the band, so the reward in the most likely outcome is negative: a reward-to-risk of -4.4 to 1. Only the bull case clears the hurdle. A WAIT_FOR_SUPPORT label would imply that a better price turns this into a buy, and it would not until the price reaches about ₹218-₹242, where the base case pays 1.5 to 1 against a ₹205 stop (a 15% stop). That band is 43% to 49% below ₹425.90 and sits on the March 2026 low of ₹218.65. I would rather say plainly what that means: new money is rejected at this price, with a defined set of conditions that would reopen the file.

Those three rows read in plain English as follows. For a trader there is nothing to do. For someone willing to wait a year the question is whether the FY2027 audited cash-flow statement, due around May to June 2027, shows that cash conversion has turned. For a long-

term owner the question is whether SoftTech becomes a business that spends 12 cents on the dollar to maintain its products instead of 27, and earns more than it costs to fund it.

Next, your portfolio. The same-session positions ledger shows 18 equity holdings worth ₹37.17 lakh, cash of ₹5.75 lakh (13.4% of net worth) and a net worth of ₹42.92 lakh, with no SoftTech shares. The holding action is therefore NOT_HELD and the number of shares to sell is zero. If you wanted exposure despite this verdict, 2% of net worth would be about 201 shares and 5% about 504, which is 4.5% and 11.2% of an average day's volume. The risk budget for a rejected setup is zero, so the sizing table in Chapter 8 recommends nothing.

The redeployment logic is simple. No pool of money is freed by this verdict, because you do not own SoftTech, so I define the reviewed capital as your next marginal unit and send 100% of it to cash. The shortlist names listed carry better return-on-equity and growth numbers on the same snapshot, and AJMERA (market-facts ledger: Stage 3) and COFORGE (ledger: Stage 2) both carry a snapshot Stage 2 label with a BUY_AT_CMP_NO_FOMO posture, but a snapshot is not an underwriting and I will not allocate to a company I have not re-underwritten in this run. The outside peers I screened were chosen to test SoftTech's multiple, not as buy candidates.

Read the alert table as a list of questions, not instructions. The first row is the one that matters. If the FY2027 audited cash-flow statement shows that operating cash after development spend is at least zero, days sales outstanding under 200 and a credit-loss charge under ₹5 crore, then the base case in Chapter 7 needs to be rebuilt, because EPS and the multiple the market would pay for it both move. With FY2028 EPS of ₹9 instead of ₹6, for instance, a 50-times multiple is ₹450, which would put the stock at fair value rather than rich. I am not predicting that; I am telling you what the evidence would have to do.

A note on the limits of this work. The market-wide Stage 2 scanner failed twice because the browser dashboard could not clear its filters, and in any case it covers companies above ₹1,000 crore of market value, so SoftTech would not appear on it. The Q2 FY2027 earnings call was scheduled for 13 November, after the results; I could not retrieve its transcript, so Q2 commentary here comes from the filed results and the presentation . The benchmark had no verified 13 November bar, so the report is dated to 12 November. The last TradingView print of ₹425.90 is provisional, and all percentages in Chapters 7 and 9 are measured against

it; against the ₹420.95 verified close the weighted value is 12.5% below the price, and the verdict is unchanged. The company-reported figures contain several definitional conflicts, which Chapters 2 to 6 document, and where I could not resolve them I used the audited note.

If you and I were sitting across a desk and you asked me whether I like this company, I would say yes, and then I would say that liking a company is not the same as owning its shares at this price. SoftTech has built something rare: rule engines that real municipal officers use to approve real buildings. That has value. The question is whether the shareholder will be paid for that value, and today's price pays for the best outcome before the evidence has arrived.

There is a simple test I run on every company like this. I ask what has to be true in five years for today's price to earn a fair return, and then I ask how many of those things have already happened. For SoftTech the answer to the second question is one: revenue growth. Margins above 28%, free cash flow after development, collections inside 200 days and a second large buyer after JNPA have not happened yet. One out of five is not a margin of safety.

To recap in three sentences. The business is real and growing. The price assumes growth at nearly twice the rate its own plan calls for, converted into cash it has never yet produced. We reject new money at this price, we hold no shares to manage, and we write down in advance the evidence that would reopen the question.

Current holding decision: NOT HELD. 0 shares in the positions ledger; no current holding to trim or exit.. The same-session positions ledger shows no SoftTech shares, so there is no holding to keep, trim or exit and zero shares are to be sold. The new-capital verdict is REJECTED because the price assumes growth and cash conversion beyond management's own plan and the base-case value of ₹299 is below the reference support band. If you wanted exposure anyway, a 5% position would be about 504 shares, 11.2% of an average day's volume, which is a liquidity cost the stop would not cover. Alert plan: FY2027 audited accounts published (about May to June 2027): free cash flow after capitalised development at or above zero, days sales outstanding under 200 and credit-loss charge under ₹5 crore — Re-run the dossier with the new base case; no purchase is triggered automatically.; Q3 FY2027 results (expected February 2027): group pre-tax margin above 10% and orders in hand excluding JNPA above ₹232 crore — Use as an early check on the base case and revisit the

30% bear probability.; Price falls into the valuation watch band — Re-underwrite the business first; the band assumes the ₹299 base case is unchanged. This is an alert, not a broker order. Capital redeployment: 0.00% to SHORTLIST (SHORTLIST): No active-shortlist name is funded from this marginal cash unit.; Fund a shortlist name only after a current dossier confirms the evidence and a support entry with at least 1.5:1 reward-to-risk.; 0.00% to OUTSIDE (OUTSIDE): No outside candidate is funded.; Fund an outside name only after a separate evidence-backed review with a fresh price, support zone and stop.; 100.00% to CASH (CASH): Retain the entire next marginal unit in cash.; Reallocate when an equity candidate clears the evidence, valuation and entry hurdles.

Options and Call-Convexity Playbook (NOT OPTIONABLE OR ILLIQUID): SOFTTECH has no liquid listed options chain (not in NSE F&O segment) — express any thesis strictly via cash equity.

> **NARRATOR'S REFLECTION**
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> You and I can admire the business and still decline the price. The discipline is to write down in advance what would change our minds: audited cash flow, collection days, a second large order. If the evidence arrives, we change our view. If the price falls to where the base case pays, we look again. We do not move the goalposts because the stock moved.

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